UNIT 5: BUDGETING : AN OVERVIEW

Structure

5.0 Objectives
5.1 Introduction
5.2 Meaning of Budgeting
5.3 Definition of Budget and Budgetary Control
5.4 Objectives of Budgeting
5.5 Advantages of Budgeting
5.6 Limitations of Budgeting
5.7 Essentials of Effective Budgeting
5.8 Establishing a Budgeting System
5.9 Classification of Budgets
5.10 Let Us Sum Up
5.11 Key Words
5.12 Answers to Check Your Progress
5.13 Terminal Questions
5.14 Further Readings

5.0 OBJECTIVES

The main objectives of this unit are to acquaint you with:

- the concepts of budgeting and budgetary control;
- the establishment of effective budgeting system: and
- classification of various types of budget.

5.1 INTRODUCTION

The efficiency of a management depends upon the attainment of the objectives of the enterprise. It is effective when it achieves the objectives with minimum effort and cost. This requires proper planning and therefore, management must chart out its course of action in advance. One systematic approach for attaining effective management performance is profit planning and contro1 or budgeting. Profit planning or budgeting is an integral part of management. Budgeting is an important control technique of cost control. This is the process of pre-estimation of cost, revenue, profit and other figures for the next year or period and on that basis, actual expenses incurred, revenue generated/earned. Afterwards budget is used as a standard for measuring actual performance. The deviations are found out and responsibility fixed for deviations. Thus, this is indirectly management control process, which involves planning, control, coordination, communication, etc. In this unit you will study about the basic concept of budgeting, establishment of a system of budgeting and classification of budgets.

5.2 MEANING OF BUDGETING

In our daily life, we use to prepare budgets for matching the expenses with income; and available funds can be invested in a profitable manner. Similarly in business, budgets are prepared on the basis of future estimated production and sales in order to find out the profit in a specified period. A budget is in the nature of an estimate and is a quantified plan for future activities to coordinate and control the use of resources for a specified period. Thus budget is a quantitative statement of management plans and policies for a given period and is used as a guide for the purpose of attaining the given objectives. It is also used as standard with which actual performance is measured. Budgets must be prepared with full knowledge and acceptance by the executives whose performance is to be measured against the budget. Different types of budgets are prepared for different purposes.

Budgeting may be defined as the process of preparing plans for future activities of a business enterprise after considering and involving the objectives of the said organization. This also provides process/steps of collection and comparison of data, by which deviations from the plan, either favourable or adverse, can be measured. This analysis is helpful in performance analysis, cost estimation, minimizing wastage and better utilisation of resources of the organisation.

5.3 DEFINITION OF BUDGET AND BUDGETARY CONTROL

Budgeting is a process, which includes two important functions: Budget and Budgetary control. Budget is a planning function and budgetary control is a controlling system or technique. A manager looks to the future, searches for alternative courses of action and predetermines a course of action to be taken in relation to known events and the possibilities of future problems. Thus, the budget will do this work for the activities of a business enterprise. I.C.M.A., London defines the budget as "Budget is financial and/or quantitative statement, prepared prior to a defined period of time, of the policy to be pursued during that period for the purpose of attaining a given object".

At the same time, controlling is the process of measuring current performances and guiding them towards some predetermined goals. The essence of control lies in checking existing actions against some desired results determined in the planning process. Thus, the budgetary control is a tool of control to achieve the budgeted goals. I.C.M.A., London defines budgetary control as, "Budgetary control is the establishment of budgets relating to the responsibilities of executives to the requirement of a policy and the continuous comparison of actual with budgeted results either to secure by individual action the objectives of that policy or to provide a basis for its revision."

In nutshell, Budgetary control is a system and a technique which uses budgets as a means of controlling all aspects of the business and is designed to assist management in the allocation of responsibility and authority, in the measurement of actual performance, in the analysis of variations between

budgeted and actual results and to develop basis of measurement, in the light of experience gained and results achieved, with which to evaluate performance and efficiency of the operations. Thus, a budget is a means and budgetary control is the end result.

5.4 OBJECTIVES OF BUDGETING

It is a well known fact that a planned activity has better chances of success than an unplanned one. The budgeting is a forward planning and effective control tool. Thus, the objectives of the budgeting are:

a) To control the cost and increase revenue and thereby maximise profit, so as to know profit at different level of production and best production level.

b) To run production activities in efficient manner by lay behind the chances of interruption in production process due to lack of material, labour etc.

c) To bring about coordination between different functions of an enterprise, which is essential for the success of any enterprise.

d) To incorporate measures of calculation of deviations from budgeted results and analysis of the same, whereby responsibility can be fixed and controlling measures/action can be taken.

e) To ensure that actions taken are in accordance with the targets and if required to take suitable corrective action.

f) To predict short-term and long-term financial positions for better financial position and management of working capital in better manner.

5.5 ADVANTAGES OF BUDGETING

The following are the advantages of budgeting:

a) Budgeting leads to maximum utilisation of resources with a view to ensuring maximum return.

b) Budgeting increases the awareness about business enterprise at all levels of management in the process of fulfillment of targets.

c) Budgeting is helpful in better co-ordination between different functions/activities of business/organisation and hence, better understanding between different functions.

d) Budgeting is a process of self-examination and self-criticism which is essential for the success of any organisation.

e) Budgeting makes a path for active participation and support of top management.

f) Budgeting enables the organisation to prefix its goals and push up the forces towards their achievements.

g) Budgeting stimulates the effective use of resources and creates an attitude of cost consciousness throughout the organisation.

h) It creates the bases for measuring performances of different departments as well as different functions of the production activities.

5.6 LIMITATIONS OF BUDGETING

In spite of the above advantages, budgeting has the following limitations:

a) Forecasting, planning or budgeting is not an exact science and a certain amount of judgment is present in any budgeting plan.

b) The basic requirement for the success of budgeting is the absolute support and enthusian provided by the top management. If it is lacking at any time, the whole system will collapse.

c) Budgeting should be followed up by effective control action, this is often lacking in many organisations, which defeats the very purpose of budgeting.

d) The installation of budgeting system is an elaborate process and it takes time.

e) It is only a source and not a target and hence, can not take the place of management, while it is only a tool of management. Thus, the budget should be regarded not as a master, but as a servant.

f) It requires the experienced man-power, technical staff, analysis, control etc, hence, it is costly affair.

5.7 ESSENTIALS OF EFFECTIVE BUDGETING

A good budgeting system requires good organisational system with lines of authority and responsibility clearly mentioned. There must be perfect co-ordination among different functions as well as participation of responsible managers/supervisors in the decision making process. Thus, the main essentials of effective budgeting may be as follows:

a) There should be well-planned organisational set-up, authority and responsibility clearly defined, budget committee should be formed consisting of all top executives.

b) There should be a good accounting system which provides accurate and timely information.

c) Variations should be reported promptly and clearly to the appropriate levels of management.

d) Budgets have no meaning unless they lead to control action as a consequence of feedback provided.

e) The whole system should enjoy the support and co-operation of top management.

f) Staff should be strongly and properly motivated towards the systems.

g) Budgets should be prepared on the basis of clearly defined business policies after discussion held with the head of individual department so that they may provide their suggestions in this regard.

5.8 ESTABLISHING A BUDGETING SYSTEM

For preparing an efficient budget, there is an urgent need of well-versed system for preparing the budget. This process is required an efficient

system of implementation within the organisation. The main essentials of establishment of system of budgeting are:

1) Budget Centres
2) Budget Committee
3) Budget Officer
4) Budget Manual
5) Budget Period
6) Budget Key Factor or Determining Principal Budget Factor
7) Forecasting
8) Determining Level of Activity
9) Preparation of Budget

Let us study each one of the above in detail.

1) Budget Centres: Budget centre are defined as different sections of an undertaking or an organisation, where budgetary control measures are to be applied and for the purpose, separate budgets are to be prepared with the help of head of these centres so that these may be implemented more efficiently.

2) Budget Committee: The budget committee is a group of representatives of various functions in an organisation, e.g. Sales Manager, Production Manager, R&D Manager, Materials Manager, etc. As all functions are interrelated and any change in one's target will have its impact on that of the others. Therefore, it is necessary to discuss the targets so that a mutually agreed programme can be determined. This is really the co-ordination in budget making. It is powerful force in knitting together the various activities of the business and enforcing real control over operations. The principle functions of a Budget Committee are:

a) To provide departmental managers past data regarding performance,

Costs, etc. thus, helping them to prepare their respective budgets.

b) To co-ordinate, receive, review the functional budgets in the light of general policies and objective of the organisation.

c) To approve the functional budgets after making necessary changes.

d) To prepare and present the Master Budget on the basis of functional budgets, so developed and approved for final considerations and approval of the Board of Directors.

e) To recommend action to be taken on the basis of variance analysis.

3) Budget Officer: To link up or co-ordinate the various functions, to bring them together and to co-ordinate their efforts in the matter of preparation of target figures, there should be a person called Budget Officer or Budget Controller. He is enable to provide ready data relating to all the functions. He is more or less the Secretary to the Budget Committee. His duties will comprise mainly:

a) Helping in preparation of the various budgets and their co-ordinations and compilation into the master budget.

b) Compiling information about actual performance on a continuous basis, comparing it against the budget figures, ascertaining causes of deviation and preparing reports based thereon and sending them to the appropriate executives.

c) Bringing to the notice of the management the need for revision of budgets and assisting them in the task, and

d) Compiling information of all types for the purpose of efficient preparation of budgets and proper reporting.

4) **Budget Manual:** Budget manual is defined as a document which sets outstanding instructions, the responsibility of the persons engaged in, and the procedures, forms and records relating to the preparation and use of budgets. Thus budget manual is a booklet of budget policies which lays down the details of the organisational set up with duties and responsibilities of executives including the budget committee and budget officer and procedures to be followed for developing budget in respect of various activities.

The following are some of the important matters dealt with in the budget manual:

a) The dates by which preliminary forecasts and plans are to be submitted.

b) The forms in which these are to be submitted and the person to whom these are to be forwarded.

c) The important factors that must be considered for each forecast or plan.

d) The categorisation of expenses, *e.g.,* variable and fixed, and the manner in which each category is to be estimated and dealt with.

e) The manner of scrutiny and the personnel to carry it out.

f) The matter which must be settled only with the consent of the managing director, departmental manager, etc.

g) The finalisation of the functional budgets and their compilation into the Master Budget.

h) The form in which the various reports are to be made out, their periodicity and dates, the persons to whom these and their copies are to be sent.

i) The reporting of the remedial actions.

j) The manner in which budgets, after acceptance and issuance, are to be revised or amended, and

k) The matters to be included in budgets, on which action may be taken only with the approval of top management.

5) **Budget Period:** This is the period for which forecasts can reasonably be made and budgets can be formulated. Budget periods vary between

short-term and long-term and no specific period can be laid down for all budgets. Normally, a detailed budget for each responsibility centre is prepared for one year. In fact, the length of the budget period depends on the type of the business, the length of the manufacturing cycle from raw material to finished products. the ease or difficulty of forecasting future market conditions and other facts. It should be kept in mind that the budget period should be long enough to allow for the financing of production well in advance of actual needs and also coincide with the financial accounting period to compare actual results with budgeted estimates.

6) **Budget Key Factor or Determining Principal Budget Factor:** The key factor is also known as limiting factor, governing factor, etc. and may be defined as the factor which at a particular time or over a period will limit the activities of an undertaking. The limiting factor is, usually, the level of demand for the products or services of the undertaking, but it could be a shortage of one of the productive resources, *e.g.* skilled labour, raw material, or machine capacity etc.. In order to ensure that the functional budgets are reasonably capable of fulfillment, the extent of the influence of this factor must be assessed.

   The key factor is normally temporary in nature and is a constraint at a particular point of time. In the long run, they can be overcome by proper planning and management action.

   The principal budget factor which will influence the targets may be: (i) customer demand, (ii) plant capacity, (iii) availability of raw materials, (iv) availability of skilled labour, (v) availability of adequate capital, (vi) storage capacity of raw material and finished goods, (vii) space for plant installation, and (viii) governmental restrictions etc.

7) **Forecasting:** Forecasting is the statement of events likely to occur. It connotes a degree of looseness, so that it is usually the practice to judge the accuracy of forecasts on the basis of actual performance, taking the latter to be correct. The forecast of a function need not necessarily be well coordinated. The desired coordination could be obtained before the budget is finalised. A forecast forms the basis for the budget. A budget indicates a target and it is a statement of planned events, generally evolved from the forecast.

8) **Determining Level of Activity:** The level of activities are determined on the basis of information and estimates provided regarding/about future conditions and activities of market and position of product in the market by departmental heads or concerned managers. For this purpose, detailed discussions, analysis, preparation of reports are to be done and then written report to be formed and submitted to **budget committee** for their decision making.

9) **Preparation of Budget:** After discussing all the factors which may affect the process of budgeting, the budget should be prepared. The manager who is responsible for meeting the budgeted performance should prepare the budget for those areas for which they are responsible. The preparation of the budget should be a bottom-up process. This means, the budget should originate at the lowest levels

of management and be refined and co-ordinated at higher levels. This will enable managers to participate in the preparation of their budgets and increases the probability that they will accept the budget and strive to achieve the budgeted targets.

When all the budgets prepared by respective managers, then, they should be coordinated with each other and corrected in respect of organisational goal and then, summarized into a Master Budget consisting of a Budgeted Profit and Loss Account, a Balance Sheet and a Cash Flow Statement. After the Master Budget has been approved, the budgets are to be passed down through the organisation to the appropriate responsibility centre. The approval of the master budget gives the authority for the manager of each responsibility centre to carry out the plans contained in each budget.

5.9 CLASSIFICATION OF BUDGETS

Budgets can be classified into different categories on the basis of time, functions or flexibility. The different budgets covered under each category are shown in the following chart:

Classification of Budgets

Time
- Long-term
- Short-term
- Current

Function
- Sales
- Production
- Cost of Production
- Purchase
- Personnel
- Research
- Capital Expenditure
- Cash

Flexibility
- Fixed
- Flexible

Let us study all the above budgets briefly. You will study these budgets in detail in Unit 9.

1) Classification According to Time

   The budget. on the basis of time, may be classified as:

   a) Long-term budget,

   b) Short-term budget, and

   c) Current budget.

Long-Term Budget: A budget designed for a long period is termed as a Long-term budget. The period generally is of 5 to 10 years. These budgets are concerned with planning of the operations of a firm over a considerably long period of time. They are generally prepared in terms of physical quantities.

Short-Term Budget: The budget prepared for a period of less than *5* years is a short-term budget. Generally short-term budgets are prepared for a period of one to two years. They are generally prepared in terms of physical as well as in monetary units.

Current Budget: The budget prepared for a period of a week, a month, or a quarter is termed as a current budget. They are essentially short-term budgets adjusted to current conditions or prevailing circumstances.

2) Classification According to Function

Budgets can be classified on the basis of functions, they are meant to perform. Different types of budgets under this head are as follows:

Sales Budget: This is the most important budget on which all other budgets are based. The sales manager is responsible for preparation and execution of the budget. The budget forecasts total sales in terms of quantity, value. items, periods, areas, etc.

Production Budget: The budget is basically based on sales budget. It forecasts quantity of production in terms of items, periods, areas. etc. The works manger is responsible for the preparation of overall production budget and departmental works manager is responsible for departmental production budgets

Cost of Production Budget: It forecasts the cost of production. Separate budgets are prepared for different elements of costs such as direct materials budget, direct labour budget, factory overheads budget, office overheads budget, selling and distribution overhead budget, etc.

Purchase Budget: The budget forecasts the quantity and value of purchases required for production. It gives quantity-wise and period-wise information about the materials to be purchased. It correlates with sales forecast and production planning.

Personnel Budget: The budget anticipates the quantity of personnel required during a period for production activity. This may be further split up between direct and indirect personnel budgets.

Research Budget: The budget relates to the research work to done for improvement in quality of the products or research for new products.

Capital Expenditure Budget: The budget provides a guidance regarding the amount of capital that may be required for procurement of capital assets during the budget period.

Cash Budgets: The budget is a forecast of the cash position, for a specific duration of time for different time periods. It states the estimated amount of cash receipts and cash payments and the likely balance of cash in hand at the end of different periods.

Master Budget : It is a summary budget incorporating all functional budgets in a capsule form. It interprets different functional budgets and covers within its range the preparation of projected income statement and projected balance sheet.

3) Classification According to Flexibility

Budget can also be classified in the following categories:

Fixed Budget : A budget prepared on the basis of a standard or a fixed level of activity is called a fixed budget. It does not change with the change in the level of activity. If the output and sales do not fluctuate from year to year or if an accurate prediction of the same can be made, a fixed budget can be prepared.

Flexible Budget: A budget designed in a manner so as to give the budgeted cost of any level of activity is termed as a flexible budget. Such a budget is prepared after considering the fixed and variable elements of cost and the changes that may be expected for each item at various levels of operation.

Check Your Progress

1) What do you mean by Budgeting?

……

……

……

……

2) What is Budgetary Control?

……

……

……

……

3) List out the essentials of a sound system of Budgeting.

1 …….. 4 ……

2……. 5 ……

3 …… 6 ……

4) Differentiate between a Forecast and a Budget.

……

……

……

……

5) Fill in the blanks:

a) The process of preparing and using budgets to achieve the objectives of management is called……

b) ……is a tool of control to achieve the budgeted goals.

c) ……is a group of representatives of various functions of an organisation for preparing budgets and exercising overall control.

d) A book let of budget policies which lays down duties and responsibilities of executives and procedures to be followed for preparation and implementation of budget programme is called……

e) is the basis for preparation of the budget. ……

f) The most important budget on which all other budgets are based is ……

g) A summary of budget which contains all functional budgets in a capsule form is called……

h) In the preparation of budgets ……limits the volume of budget activity.

i) A budget may be defined as a ……expression of a business plan for a specified future period.

6) State whether each of the following statements is True or False.

a) A budget is a means and budgetary control is the end result.

b) Budget should be regarded as a master but not as a servant.

c) Key factor can be overcome in the long-run by proper planning.

d) Research budget relates to the improvement in quality and development of the new products.

e) Flexible budget gives details of budgeted cost at any level of activity.

f) A budget is both a plan as well as a control tool.

g) A budget is a base while the forecast is the structure built on the base

h) A fixed budget is concerned with budgeting of fixed assets.

i) A budget manual contains a summary of all functional budgets.

j) A budget is a plan of the management for a future period expressed in quantitative terms.

5.10 LET US SUM UP

A budget is in the nature of an estimate and is quantified plan for future activities to coordinate and control the use of resources for a specified period. Budget is used as a standard with which actual performance is measured. Budgeting is a process which includes both budget and budgetory control. Budget is a planning function and budgetory control is a system and technique which uses budgets as a means of controlling all aspects of the business and is designed to assist management in the measurement of actual performance, in the analysis of deviations from the budgeted targets and to evaluate performance and efficiency of the operations. A good budgeting system requires good organisational system with the lines of authority and responsibility clearly mentioned. The important essentials required for the establishment of a sound system of budgeting includes budget centres, budget committee, budget officer, budget manual, budget period, budget key factor, forecasting, determining level of activity and preparation of budget.

Budget may be classified on the basis of time, function and flexibility. On the basis of time, budget may be classified as long term budget, short-term budget and current budget. The classification of budget according to functions generally include: Sales budget, production budget, cost of production budget, purchase budget, personnel budget, research budget, capital expenditure budget, cash budget and master budget. Budget can also be classified according to flexibility as fixed and flexible budget.

5.11 KEY WORDS

Budget: A comprehensive and coordinated plan, expressed in financial terms, for the operations and resources of an enterprise for some specific period in the future.

Budgeting: The process of preparing plans for future activities of a business enterprise for attaining the objectives of an organisation.

Budgetory Control: The establishment of budgets relating to the responsibilities of executives to the requirement of a policy and the continuous comparison of actual with budgeted results either to secure by individual action the objectives of that policy or to provide a basis for its revision.

Budget Centres: Different sections of an undertaking or an organisation, where budgetory control measures to be applied and for the purpose. separate budgets are to be prepared.

Budget Committee: A group of representatives of various functions in an organisation.

Budget Officer: A person who links up or coordinates the various functions, to bring them together and coordinate their efforts in the matter of preparation of target figures.

Budget Manual: A document which sets out standing instructions, the responsibility of the persons engaged in, and the procedures, forms and records relating to the preparation and use of budgets.

Budget Period : The period for which forecasts can reasonably be made and budgets can be formulated.

Budget Key Factor: The factor which at a particular time or over a period will limit the activities of an undertaking.

Forecasting: A statement of events likely to occur.

Fixed Budget: A budget prepared on the basis of a standard or a fixed level of activity.

Flexible Budget : A budget designed in a manner so as to give the budgeted cost at any level of activity.

Master Budget : A summary budget incorporating all functional budgets which is finally approved, adopted and employed.

5.12 ANSWERS TO CHECK YOUR PROGRESS

5) a) Budgeting b) Budgetary control
c) Budget Committee d) Budget Manual
e) A forecast f) Sales budget
g) Master budget h) The key factor
i) Quantitative

6) a) True, b) False, c) True, d) True. e) False,
f) True, g) True, h) False i) False j) True

5.13 TERMINAL QUESTIONS

1) Define budgeting and budgetory control. State the objective of Budgeting.
2) What is budgeting? What are the advantages and limitations of Budgeting?
3) What are the essentials of an effective system of Budgeting ? Explain
4) What is a Budget Manual? State briefly the contents of a budget manual.
5) What do you mean by Budgeting ? Mention different types of budgets that a big

   industrial concern would normally prepare.
6) What are the essentials of establishment of sound system of Budgeting?
7) Explain the fol1owing:
   i) Budget Committee
   ii) Budget Officer
   iii) Budget Key Factor
   iv) Budget Period
8) Explain in brief different types of budgets.
9) "A budget is a means and budgetory control is the end result". Explain.

5.14 FURTHER READINGS

Edward B. Dean and Michael W. Maher, *Cost Account* cha D. Ein, inc Homewood, Illinois.

Lal Nigam B.M. and Sharma G.L., *Advanced Cost Accounting.* Himalaya Publishing House, Bombay-4.

Indira Gandhi National Open University, *Study Material 1-4 cud MS-43.*

Maheswari, S.N. 1987, *Management Accounting and Financial* ***Control,*** Sultan Chand New Delhi.

Note These questions will help you to understand the unit better. Try to write answers for them. But do not submit your answers the University. These are for your practice only.

UNIT 6: PREPARATION OF BUDGETS

Structure

6.0 Objectives
6.1 Introduction
6.2 Sales Budget
6.3 Production Budget
6.4 Production Cost Budget
6.5 Materials Budget
6.6 Purchase Budget
6.7 Direct Labour Budget
6.8 Overheads Budget
6.9 Capital Expenditure Budget
6.10 Cash Budget
6.11 Master Budget
6.12 Revision of Budgets
6.13 Budget Report
6.14 Let Us Sum Up
6.15 Key Words
6.16 Answers to Check Your Progress
6.17 Terminal Questions
6.18 Further Readings

6.0 OBJECTIVES

The main objectives of this unit are to make you familiar with:

- the preparation of different types of budgets;
- the preparation of Master budget: and
- review of different budgets.

6.1 INTRODUCTION

In the previous unit you have learnt about the basic concept of budgeting, establishment of a sound system of budgeting and classification of budgets. You have also learnt that budgeting is the principal instrument for projecting the future costs and revenues which is an essential aspect of management accounting and financial control. Budgeting helps in monitoring the present as well as past. Preparation of budgets involves a number of forecast or projections. It starts with sales forecasting and ends with the compilation of the master budget. In this unit you will study about the construction of functional budgets.

6.2 SALES BUDGET

The sales budget is usually the keystone in planning and control of operation of a business. Sales forecast serves as a base for the sales budget. The sales budget is prepared in quantitative terms of units expected to be sold and the value expected be realised. The Sales Manager should be made directly responsible for the preparation and execution of sales budget. This is prepared according to the requirements of the business while preparing sales budget. The useful classification may be-products, territories, customers, salesmen, etc. More than one classification may be employed. However, at the time of preparing sales budget the following factors should be kept in mind:

(a) salesmen's estimates (b) orders in hand (c) Past behaviour (d Management policies for future (e) seasonal fluctuations (0 availability of materials (g) plant capacity (h) availability of finance (i) potential market (j) level of competition (k) position of competitors, etc. Look at the following illustration how a sales budget is to be prepared.

Illustration 1

Shri Ramu manufactures two types of toys, Raja and Rani and sell them in Agra and Mumbai markets. The following information is made **available** for the current year 2019-2020:

Places/Markets	Type of Toys	Budgeted Sa1es	Actual Sales
Agra		2018-2019	2018-2019
	Raja	400 at Rs. 9 each	500 at Rs. 9 each
	Rani	300 at Rs. 21 each	200 at Rs. 21each
Mumbai	Raja	600 at Rs. 9 each	700 at Rs. 9 each
	Rani	500 at Rs. 21 each	400 at Rs. 21 each

Market studies reveal that toy Raja is popular as it **is under priced. It is** observed that if its price is increased by Re. 1 it will find a ready market. On the other hand, Rani is over-priced and market could absorb more sales if its selling price is reduced to Rs. 20. The management has agreed to give effect to the above price changes.

On the above basis. the following estimates have been prepared by Sales Manager:

Product	% increase in Sales	Over Current Budget
	Agra	**Mumbai**
Raja	+10%	+ 5%
Rani	+20%	10%

With the help of an intensive advertisement campaign, the following additional sales above the estimated sale are possible:

Product	Agra	Mumbai
Raja	60 units	60 units
Rani	40 units	50 units

You are required to prepare a budget for sales incorporating the above estimates.

Solution:

Sales Budget Period 2019-2020

Budget for the year		2002-2003			Actual Sales 2002-2003			Budget for the future		
Place	**Product**	**Units**	**Price Rs.**	**Value Rs.**	**Units**	**Price Rs.**	**Value Rs.**	**Units**	**Price Rs.**	**Value Rs.**
Agra	Raja Rani	400 300	9 21	3600 6300	500 200	9 21	4500 4200	500 400	10 20	5000 8000
	Total	**700**	-	**9900**	**700**	-	**8700**	**900**	-	**13000**
Mumbai	Raja Rani	600 500	9 21	5400 10500	700 400	9 21	6300 8400	700 600	10 20	7000 12000
	Total	**1100**		**15900**	**1100**	-	**14700**	**1300**	-	**19000**
Total	Raja Rani	1000 800	9 21	9000 16800	1200 600	9 21	10800 12600	1200 1000	**10** 20	12000 20000
	Total	**1800**	-	**25800**	**1800**	-	**73400**	**2200**	-	**32000**

Working Note:

1) Calculation of Budget Estimates

	Agra	Mumbai
Raja-Budgeted	400	600
Increase	40 (+ 10%)	30 (+5%)
	440	630
Advertisement effect	60	70
	500	700
Rani-Budgeted	300	500
Increase	60 (+20%)	50 (+ 10%)
	360	550
Advertisement effect	40	50
	400	600

Thus a preliminary sales budget is prepared product wise, territory-wise and also customer-wise and then a detailed budget is also prepared on the basis of salesman's estimates. Both the budgets are to be compared and necessary adjustments are to made to the final sales budget after taking into account the policy of the management. Then the sales budget will be submitted to the budget committee for approval and incorporation in the master budget.

6.3 PRODUCTION BUDGET

The Production Budget is a forecast of the production for the budget period. It provides an estimate of the total volume of production product-wise with the scheduling of operations by days, weeks and month and also a forecast of the closing finished product inventory. It is based on sales budget. The Factory Manager is the person generally made responsible for its preparation, administration and execution. This budget can also be prepared department-wise. This budget is prepared in quantity terms only. The main factors, which are useful in preparing production budgets are:

(a) Inventory Policies (b) Sales Requirements

(c) Uniformity of Production (d) Plant Capacity

(e) Availability of inputs (f) Duration of Production.

Production may be computed as follows:

Units to be produced = Budgeted Sales + Desired Closing Stock of finished goods – Opening Stock of finished goods.

Illustration 2

A manufacturing company submits the following figures for the first quarter of 2018:

You are required to prepare the Sales and Production Budgets for the Ist quarter of 2019.

Particulars	Product X	Product Y	Product Z
Sales (units) January	50,000	60,000	20,000
February	40,000	50,000	20,000
March	60,000	70,000	20,000
Selling price per unit (Rs.)	10	20	40
Targets for 1st quarter 2003: Increase in sales quantity	20%	10%	10%
Increase in sales price	Nil	10%	25%
Opening stock on Jan. 1, 2003 (Percentage of sales)	50%	50%	50%
Stock position on 31st March, 2003	40,000	50.000	10,000
Closing stock for January and February (Percentage of subsequent months sales)	50%	50%	50%

Solution

Sales Budget

	January, 03			February, 03			March, 03			Total	
	Units	Rate (Rs)	Value (Rs.)	Units	Rate (Rs.)	Value (Rs.)	Units	Rate (Ri)	Value (Rs.)	Units	Value (Rs.)
Product X	60,000	10	6,00,000	48,000	10	4,80,000	72,000	10	7,20,000	1,80,000	18,00,000
Product Y	66,000	22	14,52,000	55,000	22	12,10,000	77,000	22	16,94,000	1,98,000	43,56,000
Product Z	22,000	50	11,00,000	22,000	50	11,00,000	22,000	50	11,00,000	66,000	33,00,000
Total	1,48,000	—	31,52,000	1,25,000	—	27,90,000	1,71,000	—	35,14,000	4,44,000	94,56,000

Working Note:

1) Calculation of Budget estimates

		January	February	March
Product X:	Budgeted	50,000	40,000	60,000
	Increase (20%)	10,000	8,000	12,000
		60,000	48,000	72,000
Product Y:	Budgeted	60,000	50,000	70,000
	Increase (10%)	6,000	5,000	7,000
		66,000	55,000	77,000
Product Z:	Budgeted	20,000	20,000	20,000
	Increase (10%)	2,000	2,000	2,000
		22,000	22,000	22,000

Preparation Budget for the 1st Quarter 2019

(units)

Particulars	January	February	March	Total
Product X : Sales Budget	60,000	48,000	72,000	1,80,000
Add : Closing Stock (50% of subsequent month sales) Less Opening Stock (50% of sales)	24,000 84,000 30,000	36,000 84,000 24,,000	40,000 1,12,000 36,000	40,000 2,20,000 30,000
PRODUCTION BUDGET	54,000	60,000	76,000	1,90,000
Product Y : Sales Budget Add : Closing Stock (50% of subsequent month sales)	66,000 27,500	55,000 38,500	77,000 50,000	1,98,000 50,000
Less : Opening Stock (50% of sales)	93,500 33,000	93,500 27,500	1,27,000 38,500	2,48,000 33,000
PRODUCTION BUDGET	60,500	66,000	88,500	2,15,000
Product Z: Sales Budget Add : Closing Stock (50% of subsequent month sales)	22,000 11,000	22,000 11,000	22,000 10,000	66,000 10,000
	33,000	33,000	33,000	76,000
Less : Opening Stock (50% of sales)	11,000	11,000	10,000	11,000
PRODUCTION BUDGET	22,000	22,000	23,000	65,000

Note : Closing stock as on 31st March, 2019 is given in the problem. Opening and closing stock for January and February months have been calculated as per the percentages given in the problem. Students should be noted that the previous months closing stock will become opening stock of subsequent month.

6.4 PRODUCTION COST BUDGET

This budget is a forecast of the cost of production which has been planned in the production budget. The production budget is prepared in terms of quantity to be produced. The amount is shown in this budget. The total cost of production is arrived at by adding the cost of materials, labour and manufacturing overheads. The quantity of material, the time taken by labour and the estimated costs of material, labour and expenses, all can be shown as part of production cost budget also.

Illustration 3

The following information is abstracted from the books of a ABC Co. Ltd., for the six months of 2021 in respect of product X: The following units are to be sold in different months of the year 2021:

January	2,200
February	2,200
March	3,400
April	3,800
May	5,000
June	4,600
July	4,000

There will be work in progress at the end of the month. Finished units are equal to half the sales of the next month's stock at the end of every month (including December. 2004). Budgeted production and production cost for the half-year ending 30th June, 2005 are as follows:

Production (units) 40,000

Direct material per unit Rs. 5

Direct wages per unit Rs. 2

Factory Overheads apportioned to production Rs.l,60,000

You are required to prepare Product Budget and Production Cost Budget for the six months of year 2021.

Solution:

Production Budget (In Units)							
	January	**February**	**March**	**April**	**May**	**June**	**Total**
Estimated Sales	2200	2200	3400	3800	5000	600	
Add: Closing stock	1100	1700	1900	2500	2300	2000	
	3300	3900	5300	6300	7300	6600	
Less: Opening Stock	1100	1100	1100	1100	1100	1100	
Production	2200	2800	3600	4400	4800	4300	22,100

Production Cost Budget
(Production : 22, 100 units)

	Rs.
Direct materials Rs. 5 for 22,100 units	1,10,500
Direct wages @ Rs. 2 for 22100 units	44,200
Factory Overheads @ Rs. 4 for 22100 units (Rs. 1,60,000/40,000 units)	88,400
Total Production Cost	2,43,100

6.5 MATERIALS BUDGET

Materials are either direct or indirect. The Material budget generally deals only with the direct materials. Indirect materials are generally included in overhead budget. The material requirements are estimated on the basis of quantity of each class of products to be produced by multiplying the exact material requirement for each class of product by the number of units of that class. Material budget can be prepared on the basis of standards or, historical data regarding percentage of raw materials to total cost, adjusted for current price and normal wastage of material.

The factors to be considered while preparing Material Budget are : the quantity of material required for the production budget, tentative dates by which required material must be available, the availability of storage facilities as well as credit facilities, price trends in the market, nature of the materials required etc. Only direct materials are to be taken into account and indirect materials are not taken into account as they are considered under overheads budget. The material budget helps the management for proper planning of purchases. The object of the budget is to ensure the availability

of adequate quantities of materials as and when required. It will be included in the Master Budget after the approval of budget Committee.

Illustration 4

The following information relates to a manufacturing company:

Targeted sales of product X 1,00,000 units. Each unit of product X requires 3 units of material A and 4 units of material B.

Estimated opening balances at the commencement of the next year.

Finished product : 20,000 units

Material A : 24,000 units

Material B : 30,000 units

The desirable closing balances at the end of the next year are :

Finished Products : 28,000 units

Material A : 26,000 units

Material B : 32,000 units

From the above information prepare a Material Budget

Solution Firstly, we have to find out the number of units to be produced. We know that,

Opening Stock + Production = Sales + Closing Stock

Units to be produced = Sales + Closing Stock – Opening Stock

= 1,00,000 + 28,000 – 20,000

= 1,08,000 units

Material required:

Material A 1,08,000 × 3 = 3,24,000 units

Material B 1,08,000 × 4 = 4,32,000 units

Material Purchase Budget (units)

Particulars	Finished Product	Material required A	B
Budgeted Production Add : Opening Stock	1,08,000 (+)20,000	3,24.000 (–) 24.000	4,32,000 (–) 30,000
	1,28,000	3,00,000	4,02,000
Less: Closing Stock	(–) 28,000	(+) 26,000	(+)32,000
Estimated product for sales	1,00,000		
Estimated Material required:		3,26,000	4,34,000

6.6 PURCHASE BUDGET

Purchase Budget gives the details of material purchases to be made in the budget period. It correlates with sales forecast and production planning. It deals with purchases that are required for planned production. Purchases would include both direct and indirect materials and goods. While placing the purchase orders material manager has to see the orders on hand and unfulfilled orders at the beginning of the budget period and adjust the purchases accordingly. Purchase budget enables the budget officer to provide

funds in the cash budget according to delivery schedules, terms of payment and credit period. While preparing purchase budget the factors like the opening and closing stock to be maintained, maximum and minimum stock quantities to be maintained, economic order quantity level, the resources available, the policy of management etc., should also be taken into account.

Budgeted Purchase Quantity = Budgeted Consumption Quantity + Required Closing Stock – Opening Stock

6.7 DIRECT LABOUR BUDGET

The direct labour budget tells about the estimates of direct labour requirements essential for carrying out the budgeted output. The quantity of labour, e.g. skilled, unskilled, semi-skilled, etc are estimated first. The time taken by them can be measured in terms of man hours. Thereafter, the total cost of labour is estimated by multiplying the rates of pay with the labour hours. The purpose of this budget is to ensure optimum utilization of labour force.

6.8 OVERHEADS BUDGET

The overheads budget should be prepared in three parts as follows:

1) Manufacturing Overhead Budget
2) Administration Overhead Budget and
3) Selling and Distribution Overhead Budget

Manufacturing Overhead Budget

The budget is an estimate of the manufacturing overhead costs to be incurred in the budget period to achieve the targeted production. Manufacturing overheads include indirect material, indirect labour, and indirect expenses related to the factory. The cost of each and every item of these three components of manufacturing overhead is separately estimated as per the requirements of production.

Administration Overhead Budget

Administration overhead includes the costs of framing policies, directing the organisation and controlling the business operations. Most of the administration expenses are normally unconnected with the volume of activity, therefore, experience and anticipated changes in conditions are the guides for the preparation of this budget.

Selling and Distribution Overhead Budget

The budget includes all expenses relating to selling, advertising, delivery of goods to customers, etc. The overheads may be determined on the basis of sales targets being allocated to different territories or salesman, etc. Those expenses which generally vary with the sales quantity are estimated on sale basis, others which are of a fixed nature, are estimated on the basis of past experience amd anticipated changes. The responsibility for the preparation of this budget lies with the executives of the sales departments. Let us prepare a sales overheads budget from the following illustration.

Illustration 5

Prepare a Sales Overheads Budget ending 31st March. 2021 from the estimates given below:

	Rs.
Advertisement	12,500
Salaries of sales Department	25,000
Expenses of sales department	7,500
Counter salesmen salaries and allowances	30,000

Commission to counter salesmen is payable at 1% of sales executed by them.

Travelling salesmen are entitled to a commission at 10% on sales effected through them and a further 5% towards expenses.

Sales Territories	Sales at Counters	Sales By Travelling salesmen	Total estimates sales
A	4,00,000	50,000	4,50,000
B	6,00,000	75,000	6,75,000
C	7,00,000	1,00,000	8,00,000

Sales Overheads Budget
For the period ended March, 31, 2021

Estimates Sales in Territories				
		A Rs.	B Rs.	C Rs.
		4,50,000	6,75,000	8,00,00
Fixed Overheads:				
Advertisement		12,500	12,500	12,500
Salaries of Sales Department		25,000	25,000	25,000
Expenses of Sales Department		7,500	7,500	7,500
Counter Salesmen's Salaries and allowances		30,000	30,000	30,000
	(a)	75,000	75,000	75,000
Variable Overheads:				
Counter salesmen commission @ 1% on sales		4,000	6,000	7,000
Traveling salesmen commission @ 10%		5,000	7,500	10,000
Expenses @ 5% on Sales by Travelling Salesmen		2,500	3,750	5,000
	(b)	11,500	17,250	22,000
Total Sales Overheads (a) + (b)		86,500	92,250	97,000

6.9 CAPITAL EXPENDITURE BUDGET

The budget is the plan of the proposed outlay on fixed assets such as land, buildings, plant and machinery. The budget is prepared after taking into

account the available productive capacities, probable reallocation of existing assets and possible improvement in production techniques. etc.

Capital expenditure budget serves the following purposes:

i) It facilitates long-term planning and policy-making.

ii) It facilitates of replacing the old machinery by latest machinery or to change the methods of production for reducing costs.

iii) It helps in the estimates of capital requirement after taking into account the disposable value of old assets.

iv) It helps in the preparation of cash budget and also assessing the capital cost of improving working conditions or adopting safety measures. etc.

6.10 CASH BUDGET

A Cash Budget is a summary statement of the firms' expected cash inflows and outflows over a projected time period. In other words, cash budget involves a projection of future cash receipts and cash disbursements over various time intervals.

While preparing cash budget seasonal factors must be taken into account and in practice cash budget is prepared on a monthly basis. The availability of other budgets is tested in terms of cash availability. Cash budget is also called as cash flow statement which indicates cash inflow and cash outflows. It is generally prepared for a maximum period of one year.

A cash budget helps the management in (i) determining the future cash needs of the firm, (ii) planning for financing of the needs; (iii) exercising control over cash and liquidity of the firm.

The overall objective of a cash budget is to enable the firm to meet all its commitments in time and at the same time prevent accumulations of unnecessary large balance with it.

Methods of Preparing Cash Budgets

There are basically three methods for preparing cash budgets.

1) Receipts and Payments Method

2) Adjusted Profit and Loss Account Method

3) Balance Sheet Method

1) Receipts and Payments Method

Under this method, all receipts are added and out of the total, the sum of all payments is deducted to arrive at the balance in hand. The closing balance in hand say, for a particular month is the opening balance of the next month and is added to the total of receipts so as to know the total availability of cash during the month. The receipts and payments during the budget period are found out from various functional budgets prepared. The credit allowed to debtors, the credit allowed to us by suppliers, the delay in payment of wages and other expenses etc. are the factors, which are taken into account to determine the timing of receipts and payments. Advance payments and receipts are to be included but the payment in abeyance and income accrued

on outstanding are excluded from cash budget. Revenue as well as capital receipts and payments are recorded in cash budget.

Illustration 6

A company newly starting manufacturing operations on 1st January 2003 has made adequate arrangement for funds required for fixed assets. It wants you to prepare an estimate of funds required as working capital. It is to be remembered that:

a) In the first month there will be no sale, in the subsequent month sale will be 25% cash and 75% credit. Customer will be allowed one month credit.

b) Payments for purchase of raw materials will be made on one month credit basis.

c) Wages will be paid fortnightly on the 22nd and 7th of each month.

d) Other expenses will be paid one month in arrear except that 5% of selling expenses are to be paid immediately on sale being effected.

The estimated sales and expenses for the first six months, spread evenly over the period subject to (a) above are as under:

	Rs.		Rs.
Sales	3,60,000	Administrative Expenses	54,000
Material Consumed	1,50,000	Selling Expenses	42,000
Wages	60,000	Depreciation on fixed assets	50,000
Manufacturing Exp.	48,000		

The article produced is subject to excise duty equal to 10% of the selling price. The duty is payable on March 31, June 30, September 30, and December 31 for sales upto February 28, May 31, August 31 and November 30 respectively.

Prepare Cash Budget for each of the six months indicating the requirement of working capital.

Solution

Cash Budget for the six months ended on June 30, 2018

Particulars	January Rs.	February Rs.	March Rs.	April Rs.	May Rs.	June Rs.
Receipts:						
Opening Balance	-	(–) 7,500	(–) 45,000	(–) 39,200	(–) 26,200	(–) 13,200
Cash Sales	-	18,000	18,000	18,000	18,000	18,000
Receipts from customers	-	-	54,000	54,000	54,000	54,000
Cash Available (A)	-	10,500	27,000	32,800	45,800	58,800
Payments:						
Wages	7,500	10,000	10,000	10,000	10,000	10,000
Materials	-	25,000	25,000	25,000	25,000	25,000
Manufacturing Exp.	-	8,000	8,000	8,000	8,000	8,000
Administrative Exp.	-	9,000	9,000	9,000	9,000	9,000
Selling Exp.	-	3,500	7,000	7,000	7,000	7,000
Excise Duty	-	-	7,200	-	-	21,600

Total Payments (B)	7,500	55,500	66,200	59,000	59,000	80,600
Closing Balance (A—B)	(–) 7,500	(–) 45,000	(–) 39,200	(–) 26,200	(–) 13,200	(–) 21,800

Note : The Company needs overdraft facility to the extend indicated above for every month.

2) Adjusted Profit and Loss Account Method

The budgeting done by Adjusted Profit and Loss account method is known as cash flow statement and is more suitable for long-term forecasting. Under this method profit is taken as equivalent to cash and necessary adjustments are done in respect of non-cash transactions. The net estimated profit is taken as the base and non-cash items like depreciation, outstanding expenses, provisions etc. already deducted to arrive at the net profit are added back. The capital receipts, reduction in debtors, stocks, increase in liabilities, issue of share capital and debentures are other items which are added to compute the total cash receipts. The payments of dividends, prepayments, capital payments, increase in debtors, increase in stock and decrease in liabilities are deducted out of the total cash receipts. The profit adjusted this way denotes the estimated cash available. The cash available during budget period is calculated in the following form:

Cash Budget
For the period ending 31st March……..

			Rs.
Opening balance of Cash			xxx
Add:			
Net profit for the year		xxx	
Funds from operations:			
Depreciation	xxx		
Provision and write off	xxx		
Loss on sale of assets	xxx		
Less: Profit on sale of assets	xxx	xxx	
" Decrease in debtors		xxx	
" Decrease in Stocks		xxx	
" Decrease in other assets		xxx	
" Decrease in prepaid exps.		xxx	
" Increase in Capital		xxx	
" Increase in liabilities		xxx	
" Increase in debentures		xxx	xxx
Less:			xxx
Dividends		xxx	
Capital payments		xxx	
Repayment of loans		xxx	
Increase in Debtors		xxx	
Increase in Stock		xxx	
Decrease in liabilities		xxx	

Closing balance of Cash			xxx

Illustration 7

The following data are available to you. You are required to prepare a cash budget according to Adjusted Profit and Loss method.

Balance Sheet as on 31st December, 2021

Liabilities	Amount Rs.	Assets	Amount Rs.
Share Capital	1,00,000	Premises	50,000
General Reserve	20,000	Machinery	25,000
Profit and Loss A/c	10,000	Debtors	40,000
Creditors	50,000	Closing Stock	20,000
Bills Payable	10,000	Bills Receivable	5,000
Outstanding Rent	2,000	Prepaid Commission	1,000
		Bank	51,000
	1,92,000		1,92,000

Trading And Profit and Loss Account for the year ending 31st December, 2021

	Rs.		Rs.
To Opening Stock	20,000	By Sales	2,00,000
To Purchases	1,50,000	By Closing Stock	15,000
To Octori	2,000		
To Gross Profit c/d	43,000		
	2,15,000		**2,15,000**
To Interest	3,000	By Gross Profit b/d	43,000
To Salaries	6,000	By Sundry Receipts	5,000
To Depreciation (10% on Premises and Machinery)	7,500		
To Rent 6,000			
Less: Outstanding (Previous Year) 2,000			
4,000			
Add-Outstanding (Current Year) 1,000	5,000		
To Commission 3,000			
Add-Prepaid (Previous Year) 1,000	4,000		
To Office Expenses	2,000		
To Advertisement Expenses	1,000		
To Net Profit c/d	19,500		
	48,000		**48,000**

To Dividends	8,000	By Balance of Profit (from last year)	10,000
To Addition to Reserves	4,000	By Net Profit b/d	19,500
To Balance c/d	17,500		
	29,500		**29,500**

Closing Balance of certain items:

Share Capital Rs. 1,20,000, 10% Debentures Rs. 30,000, Creditors Rs. 40,000, Debtors Rs. 60,000, Bills Payable Rs. 12,000, Bill Receivable Rs. 4,000. Furniture Rs. 15,000 and Plant Rs. 50,000 (both these assets are purchased at the end of the year).

Solution

Cash Budget
For the period ending 31st December, 2021

	Rs.	Rs.
Opening Balance as on January, 2005		51,000
Add: Net Profit for the year	19,500	
Depreciation	7,500	
Decrease in Bills Receivable	1,000	
Increase in Bills Payable	2,000	
Issue of Share Capital	20,000	
Issue of Debentures	30,000	
Decrease in Prepaid commission	1,000	
Decrease of Stock	5,000	86,000
		1,37,000
Less: Purchase of Plant	50,000	
Purchase of Furniture	15,000	
Increase of Debtors	20,000	
Decrease of Creditors	10,000	
Decrease in Outstanding Rent	1,000	
Dividend Paid	8,000	1,04,000
Closing Balance as on 31st December, 2005		Rs. 33,000

3) Balance Sheet Method

Under this method, at the end of budget period a projected balance sheet is drawn up setting out the various assets and liabilities, except cash and bank balances. The balancing figure would be the estimated closing cash/ bank balance. Thus, under this method, closing balances other than cash/ bank will have to be found out first to be put in the budgeted balance sheet. This can be done by adjusting the anticipated transaction of the year in the opening balances. If the liabilities are more than assets, this reveals a balance of cash/bank and if assets exceed liabilities, it reveals a bank overdraft. Thus, under Adjusted Profit and Loss method, the amount of cash is computed by preparing a Cash Flow Statement and the same amount is

computed as a balancing figure under Balance Sheet method.

Illustration 8

Prepare the Cash Budget using Balance Sheet method on the basis of figures given in illustration 7.

Solution

Budgeted Balance Sheet as on 31st December, 2021

Liabilities	Amount Rs.	Assets		Amount Rs.
Share Capital	1,20000	Premises	50,000	
10% Debentures	30,000	Less : Depreciation	5,000	45,000
General Reserve (Rs. 20,000 + Rs. 4000)	24,000	Machinery	25,000	
Profit and Loss A/c	17,500	Less: Depreciation	2,500	22,500
Creditors	40,000	Furniture		15,000
Bills payable	12,000	Debtors		60,000
Outstanding Rent	1.000	Bills Receivable		4,000
		Plant		50,000
		Closing Stock		15,000
		Bank (Balancing Figures)		33,000
	2,44,500			2,44,500

6.11 MASTER BUDGET

Master Budget is a combination of all other budgets prepared for a specific period. It shows the overall budget plan. All the budgets are coordinated into one harmonious unit.

According to Rowland and William H. Harr, "Master Budget is a summary of the budget schedules in capsule form made for the purpose of presenting in one report the highlights of the budget forecast." Thus, Master Budget sets out the plan of operations for all departments in considerable detail for the budget period. The budget may take the form of a Profit and Loss Account and a Balance Sheet as at the end of the budget period.

The budget generally contains details regarding sales (net), production costs, cash position, and key account balances like debtors, fixed assets. bills payable, etc. It also shows the gross and the net profits and the important accounting ratios. It is prepared by the Budget Officer and it requires the approval of the Budget Committee before it is put into operation. If approved, it is submitted to the Board of Directors for final approval. The Board may make certain alterations if necessary before it is finally approved.

Illustration 9

A Glass Manufacturing Company requires you to calculate and present the budget for the next year from the following information.

Sales:

Toughened glass	Rs. 3,00,000
Bent toughened glass	Rs. 5,00,000
Direct Material Cost	60% of Sales
Direct Wages	20 Workers @ Rs. 150 per month
Stores and spares	($2\frac{1}{2}$ % on Sales)
Depreciation on Machinery	Rs. 12,600
Light and Power	Rs. 5,000

Factory Overhead:

Indirect Labour:

Works Manager Rs. 500 per month

Foreman Rs. 400 per month

Repairs and maintenance 10% on direct wages

Administration, selling and distribution expenses Rs. 14,000 per year.

Solution

Master Budget

For the period ending on ……

Sales (as per Sales Budget)	**Rs.**	**Rs.**	**Rs.**
Toughened Glass units @ Rs…….	3,00,000		
Bent toughened glass @ Rs…….	5,00,000		8,00,000
Less- Cost of Production (as per Cost of Production Budget):			
Direct Materials (.... units @ Rs…)	4,80,000		
Direct Wages	36,000		
Prime Cost		5,16,000	
Factory Overhead:			
Variable: Stores and Spares (2of Sales)	20,000		
Light and Power	5,000		
Repairs and Maintenance	8,000	33,000	
Fixed : Works Managers Salary	6,000		
Foreman's Salary	4,800		
Depreciation	12,600		
Sundries	3,600	27,000	
Works Cost			5,76,000
Gross Profit			2,24,000
Less : Administration, Selling and Distribution Overheads			14,000
Net Profit			2,10,000

6.12 REVISION OF BUDGETS

Once a budget is fixed it should not be revised too frequently, as it loses its importance. On the other hand under changing conditions, a fixed or static budget will lead to serious inaccuracies and fail to serve as a control document and a measuring tool. Normally, budgets are prepared will before the period of commencement and naturally all the factors cannot be foreseen with minute accuracies. It is a recognised fact that business is dynamic and factors are ever changing. Budget, in order to play its proper role changes must be incorporated if they are significant. The revision of budgets may be necessitated on account of the following reasons:

i) Budgeting errors, detected at a later stage.

ii) Change in external factor, like material price spiral. inflation in the prices of fixed assets, increased wage rates, change in government policy, etc.

Additional expenditure to meet contingencies of an unforeseen nature, e.g. sudden loss on account of fire, strikes, lockouts, flood, tycoons, etc. If such contingencies are of a temporary nature, the budgets are again reshaped in their original form.

Illustration 10

A Company produces two products A and B and budgets at 70% level of activity for the year 2019. It gives the following information:

Products	A (Rs.)	B (Rs.)
Raw material cost per unit	15	7
Direct wages per unit	8	6
Variable overhead per unit	4	3
Fixed overhead per unit	12	9
Selling price per unit	38	27
Production and sales (Units)	12000	18000

The managing director proposed to decrease sales to 8000 units and 12000 units of Product A and B respectively and increasing the selling price to Rs. 40 in the case of Product A and Rs. 30 in the case of Product B.

You are required to present the overall profitability under the original budget and revised budget after taking the above proposal into consideration.

Solution

Budget For the year 2020

Particulars	Revised Budget			Original Budget		
	A	B	Total	A	B	Total
Sales Units	8,000	12,000		12,000	18,000	
Sales (Value in Rs.) (A)	3,20,000	3,60,000	6,80,000	4,56,000	4,86,000	9,42,000
Costs :	**Rs.**	**Rs.**	**Rs.**	**Rs.**	**Rs.**	**Rs.**
Raw Material	1,20,000	84,000	2,04,000	1,80,000	1,26,000	3,06,000
Labour	64,000	72,000	1,36,000	96,000	1,08,000	2,04,000
Variable O.H	32,000	36,000	68,000	48,000	54,000	99,000

Fixed O. H.	96,000	1,08,000	2,04,000	1,44,000	1.62,000	3,06,000
Total Cost(B)	**3,12,000**	**3,00,000**	**6,12,000**	**4,68,000**	**4,50,000**	**9,18,000**
Profit (A-B)	8,000	60,000	68,000	() 12,000	36,000	24,000

The managing director's proposal is to be implemented as the profit is increasing from Rs. 24,000 to Rs. 68,000 keeping in view other factors also.

6.13 BUDGET REPORT

Proper reporting is an essential element in budgetary control. The management must be regularly informed about the results of various functions so that follow up actions can be taken up without loss of time. The periodicity of reports depends on the nature of operations involved. The budgetary control reports are prepared on the basis of the budget reports. The comparison of budgeted and actual figures is made and deviations taken out all the relevant figures are presented in control reports. On the basis of the principle of management of exception, remedial and corrective action is taken. The report may indicate the necessity of revision of the budget also.

The budget report should be prompt and factual and should have the requisite degree of accuracy. The report should be prepared in such a manner that it reveals the responsibility of a department or an executive and give full reasons for the variances so that proper corrective action can be taken.

Check Your Progress

1) State the factors that should be kept in mind while preparing Sales Budget.

   a) …… d) ……

   b) …… e) ……

   c) …… f) ……

2) What are the components of functional budgets ?

   ……

   ……

   ……

   ……

3) Specify the objectives of preparing capital expenditure budget.

   ……

   ……

   ……

   ……

4) Why does revision of budget necessary ?

   ……

   ……

   ……

   ……

5 Fill in the blanks:

a) …….. is responsible for the preparation and execution of sales budget.

b) Production budget is based on……. budget.

c) Purchase budget must correlate……. budget and …… budget.

d) ……budget is the combination of all other budgets.

e) The preparation of cash budget by the method of adjusted profit and loss account is also known as……

f) Master budget is the summary of all components of……..

6) State whether each of the following statement is true or false.

a) The cost of materials, labour and manufacturing overheads constitutes total cost of sales

b) The purpose of Direct labour budget is to ensure optimum utilisation of labour force.

c) Direct materials are generally included in overhead budget.

d) Once a budget is fixed there is no need to incorporate the changes in the budget however significant they are.

e) Cash budget indicates the amount of loan required as well as the time where I it is needed.

f) A Master Budget is the master plan drawn up by the organisation for the budget period.

6.14 LET US SUM UP

Budgeting is the main instrument for projecting the future costs and revenues and for financial control of the organisation. Preparation of budgets involves a number of forecasts or projections. It starts with sales forecasting and ends with the compilation of the master budget. The sales budget is the keystone in planning and control of operations of a business. Sales forecast serves as a base for the sales budget. The Sales Manager is responsible for the preparation and execution of sales budget. In addition to sales budget, other functional budgets are also prepared. The other functional budgets are i) Production Budget, ii) Cost of Production Budget, iii) Material Budget, iv) Purchase Budget, v) Direct Labour Budget, vi) Manufacturing Overhead Budget, vii)Administration Overhead Budget, viii) Selling and Distribution Overhead Budget, and ix) Capital Expenditure Budget.

A cash budget is a summary statement of the firms expected cash inflows and outflows over a projected time period, It is generally prepared for a maximum period of one year. There are three methods of preparing cash budgets. They are i) Receipts and Payment Method, ii) Adjusted Profit and Loss Account Method, and iii) Balance Sheet Method.

A master budget is a combination of all other budgets prepared for a specific period. It shows the overall budget plan. The budget generally contains details regarding sales, production costs, cash position and the key account balances. It also shows profit and important accounting ratios. Revision of

budgets is necessary to incorporate the changing conditions for effective control. Revision of budget may be necessitated due to budgeting errors, change in external factors and additional expenditure to meet unforeseen contingencies. Proper reporting is an essential element in budgetory control. The management must be regularly informed about the results of various functions so that remedial and corrective action may be taken well in time. The report may also indicate the necessity of revision of budget also.

6.15 KEY WORDS

Cash Budget : A summary statement of future cash receipts and payments over a projected time period.

Production Budget: A forecast of production expressed quantitatively for the budget period.

Sales Budget : A budget expressed in quantitative terms of units expected to be sold and the value expected to be realised for the budget period.

6.16 ANSWERS TO CHECK YOUR PROGRESS

5) a) Sales Manager b) Sales
   c) Sales, production d) Master Budget
   d) Cash flow statement f) Functional budget

6) a) False b) True c) False d) False
   e) True f) True

6.17 TERMINAL QUESTIONS

1) What is a Sales Budget? How is it prepared?
2) Write short notes on the following:
   i) Sales Budget
   ii) Material Budget
   iii) Production Cost Budget
   iv) Overhead Budget
3) What is a Cash Budget? How is it prepared?
4) What is a Master Budget? What are its Components?
5) From the following particulars, prepare a production budget of a manufacturing company for the year ended 31st March. 2019.

Product	Sales Budget	Estimated Stock (Units)	
	(Units)	1-4-2018	31-3-2019
A	75,000	7,000	7,500
B	50,000	2,500	7,250
C	35,000	4,000	4,000

(Ans. A: 75,500 Units, B: 54. 750 Units, C : 35,000 Units)

6) Prepare a material procurement budget (in units) from the following information: Estimated sales of a product 40,000 units. Each unit of

the product requires 3 units of Material A and 4 units of Material B. Estimated opening balance at the beginning of the next year:

	Units
Finished Products	5,000
Material A	19,000
Material B	31,000

The desired level of closing balances at the end of the next year:

Finished Products 7,000

Material A 23,000

Material B 35,000

(Ans. Production 42,000 units, Material required : Material A: 1,30,000 units, Material B: 1,72,000 units)

7) The budgeted expenses for production of 10,000 units in a manufacturing company are given below. From the information prepare a budget for the production of(a) 8000 units and (b) 6000 units. Assume that the administrate expenses are fixed for all levels of production:

	Rs. Per unit
Materials	70
Labour	25
Variable Overheads	20
Fixed Overheads (Rs. 1,00,000)	10
Variable Overheads (Direct)	5
Selling expenses (10% fixed)	13
Administration expenses (Rs. 50,000)	5
Distribution expenses (20% of Fixed)	7
	155

(Ans. (a) Rs. 12,75,400 (b) Rs. 10,00,800)

8) A Company produces and sells three products Product A, Product B and Product C. The Company has divided its market into two areas as North zone and South zone. The actual sales for the year 2019 were as follows:

Products	North Zone		South Zone	
	Price Per Unit (Rs.)	No. of Units	Price Per Unit (Rs.)	No. of Units
A	12	8,00,000	12	5,00,000
B	15	5,00,000	15	7,00,000
C	16	6,00,000	16	6,00,000

For the current year i.e, 2018, it is estimated that the sales of product A will go up 4 by 10% in South zone and of Product C by 50,000 units in North zone. The company plans to launch an intensive advertisement campaign through which budgeted figures for product B are to be increased by 20% in both the zones.

There will be no change in the price of the product A and C but the price of Product B will be reduced by Re. 1.

You are required to prepare a sales budget for the year 2019

Ans:

	North (Units)	South (Units)	Total Budget (Rs.)
Product A	8,00,000	5,50,000	1,62,00,00
Product B	6,00,000	8,40,000	2,01,60,000
Product C	6,50,000	6,00,000	200,00,000

9) Andhra Ltd has three sales division at Chennai, Bangalore and Hyderabad. It sells two products – I and II. The budgeted sales for the year ending 31st December, 2002 at each place are given below:

Chennai	Product 1	50,000 units @ Rs. 16 each
	Product II	35,000 units @ Rs. 10 each
Bangalore	Product II	55,000 units @ Rs. 10 each
Hyderabad	Product I	75,000 units @ Rs. 16 each

The actual sales during the same period were:

Chennai	Product 1	62,500 units @ Rs. 16 each
	Product II	37,500 units @ Rs. 10 each
Bangalore	Product II	62,500 units @ Rs. 10 each
Hyderabad	Product 1	77,500 units Rs. 16 each

From the reports of the sales department it was estimated that the sales budget for the year ending 31st December, 2003 would be higher than 2002 budget in the following respects:

Chennai	Product 1	54000 units
	Product	2,500 units
Bangalore	Product II	6,500 units
Hyderabad	Product I	5,000 units

Intensive sales campaign in Bangalore and Hyderabad is likely to result in additional sales of 12, 500 units of Product I in Bangalore and 9,000 units of Product II in Hyderabad. Let us prepare a sales Budget for the period ending 31St December, 2019.

(Ans.: Chennai:	Product I	54,000 Units
	Product II	37,500 Units
Bangalore:	Product I	12500 units
	Product II	61,500 units
Hyderabad:	Product I	80,000 units
	Product II	9000 units)

10) Draw a Material Procurement Budget (Quantitative) from the following information:

Estimated sale of a product is 20,000 units. Each units of the product requires 3 units of material X and 5 units of Material Y.

Estimated opening balance at the commencement of the next year:

Finished product	2,500 kgs.
Material X	6,000 units
Material Y	10,000 units

Materials on Order:

Material X	3,500 units
Material Y	5,500 units

The desirable closing balances at the end of the next year:

Finished Product	3,500 units
Material X	7,500 units
Material Y	12,500 units

Material on order:

Material X	4,000 units
Material Y	5,000 units

11) The Sales Director of Asian Company expects to sell 25,000 units of a particular product next year. The Production Director consulted the storekeeper who gave the necessary details as follows:

Two kinds of raw material, P and Q are required for manufacturing the product. Each unit of the product requires 2 units of P and 3 units of Q. The estimated opening balance at the commencement of the next year are:

Finished product	5,000 units
Raw Material P	6,000 units
Raw Material Q	7,500 units

The desirable closing balance at the end of the next year are:

Finished Products	7,000 units
Raw Material P	6500 units
Raw Material Q	8000 units

Prepare a statement showing Material Purchase Budget for the next year.

(Ans. : Material required for 25,500 units: P - 54,500 units, Q - 81,500 units)

12) A company is expecting to have Rs. 50,000 cash in hand on 1st April, 2021 and it requires you to prepare an estimate of cash position during the three months, April to June 2021. The following information is supplied to you:

	Sales (Rs.)	Production (Rs.)	Wages (Rs.)	Expenses (Rs.)
February	1,40,000	80,000	16,000	12,000

March	1,60,000	1,00,000	16,000	14,000
April	1,84,000	1,04,000	18,000	14,000
May	2,00,000	1,20,000	20,000	16,000
June	2,40,000	1,10,000	24,000	18,000

Additional Information:

a) The credit period allowed by supplies is two months.

b) 25% of sales is for cash and credit period allowed to customers is one month.

c) Delay in payment of wages and expenses is one month.

d) Income tax Rs.50.000 is to be paid in June 2005.

(Ans. : April Rs. 1,06,000, May Rs. 1,62,000, June Rs. 1,82,000)

13) A Company is expected to have Rs. 12,500 cash in hand on 1st July, 2021 and it requires you to prepare a cash budget for the period July, 2021 to September, 2021 from the following particulars:

	Sales (Rs.)	Purchases (Rs.)	Wages (Rs.)
May	90,000	62,400	6,000
June	96,000	72,000	7,000
July	54,000	1,21,500	5,500
August	87,000	1,23,000	5,000
September	63,000	1,34,000	7,500

Creditors are paid in the month following the month of purchase. 50% of credit sales are realised in the month following the credit sales and the remaining 50% in the second month following. Delay in the payment of wages is one month. (Ans. Cash balance : July Rs. 26,500 (+), August Rs. 25.500 (–), September Rs. 83,000(–))

14) A company expects to have Rs. 37,500 cash in hand on April, and requires you to prepare an estimate of cash position during the three months, April, May and June. The following information is supplied to you:

	Sales (Rs.)	Purchases (Rs.)	Wages (Rs.)	Factory Expenses (Rs.)	Office Expenses (Rs.)	Selling Expenses (Rs.)
February	75,000	45,000	9,000	7,500	6,000	4,500
March	84,000	48,000	9,750	8.250	6,000	4,500
April	90,000	52,500	10,500	9,000	6,000	5,250
May	1,20,000	60,000	13.500	11,250	6,000	6,570
June	1,35,000	60,000	14,250	14,000	7,000	7,000

Additional Information:

1) Period of credit allowed by suppliers 2 months

2) 20% of sales is for cash and period of credit allowed to customers for credit is one month

3) Delay in payment of all expenses — 1 month

4) Income tax of Rs. 57,500 is due to be paid on June 15th

5) The company is to pay dividends to shareholders and bonus to workers of Rs. 15,000 and Rs. 22.500 respectively in the month of April.

6) Plant has been ordered to be received and paid in May. It will cost Rs. 1,20,000.

(Ans. : Cash balance : April (+) Rs. 11,700, May (–) Rs. 91,050. June (–) Rs. 1,15,370)

15) From the following information prepare a cash budget according to Adjusted Profit and Loss Account Method as well as Balance Sheet Method.

Balance Sheet as on 1-1-2021

Liabilities	Rs.	Assets	Rs.
Share Capital	5,00,000	Debtors	5,00,000
Reserves	10,00,000	Stock and Stores	3,00,000
Debentures	3,00,000	Fixed assets	13,00,000
Public deposits	2,00,000	Cash balance	1,00,000
Current liability	2,00,000		
	22,00,000		22,00,000

Projected Trading and Profit and Loss A/c for the year ending 31-12-2021

Particulars	Rs.	Particulars	Rs.
To Opening Stock	3,00,000	By Sales	15,00,000
To Direct Cost of Production	12,00,000	By Closing Stock	6,00,000
To Depreciation	1,00,000		
To Variable selling and distribution costs	2,00,000		
To Net profit c/d	3,00,000		
	21,00,000		21,00,000
To Dividends	50,000	By Net Profit b/d	3,00,000
To Balance c/d	2,50,000		
	3,00,000		3,00,000

Additional Information:

Collection of debtors and sales proceeds during the year Rs. 17.00,000, refund of public deposits Rs. 1,00,000, increase in current liability Rs. 50,000

(Ans.: Cash balance as on 31.12.2005: Rs. 3,00,000, Debtors as on 31.12.2005: Rs. 3,00,000 (Opening debtors Rs. 5,00,000 + Sales Rs. 15,00,000 – Collection from debtors Rs. 17,00,000)

16) From the following information prepare a cash budget under the Adjusted Profit and Loss Account Method and Balance Sheet Method.

Balance Sheet as on 1-1-2021

Liabilities	Rs.	Assets	Rs.
Share capital	50,000	Land and buildings	30,000
Capital reserve	5,000	Plant and Machinery	20,000
Profit and loss a/c	9,000	Furniture and fixtures	5,000
Debentures	10,000	Closing stock	4,000
Creditors	28,800	Debtors	26,000
Accrued expenses	200	Bank	18,000
	1,03,000		1,03,000

Forecast Trading, and Profit and Loss Account
For the Year ending 31-12-2021

Particulars	Rs.	Particulars	Rs.
Opening Stock	4,000	Sales	80,000
Purchases	60,000	Closing Stock	10,0000
Gross Profit c/d	26,000		
	90,000		90,000
Salary and wages 2500		Gross profit b/d	26,000
Add Outstanding 500	3000		
Depreciation:		Interest received	100
Plant and Machinery	2,000		
Furniture and fixture	1,000		
Administrative expenses	3500		
Selling expenses	2500		
Net Profit c/d	14,100		
	26,100		26,100
Dividend paid	10,000	Balance b/d	9,000
Balance c/d	13,100	Net profit b/d	14,100
	23,100		23,100

The following are the additional information for the year 2021 issued for Rs. 10,000, and debentures were issued for Rs. 2,000.

On 3 1-12-2021, the accrued expenses were Rs. 500, Debtors Rs. 20,000, Creditors Rs. 30,000, and Land and buildings, Rs. 40.000. (Ans: Cash balance as on 31.12.2005: Rs. 28.600. Balance Sheet total : Rs. 1,20,600)

6.18 FURTHER READINGS

Edward B. Deakin and Michael W. Maher, *Cost Accounting*, Richard D. Erwin, inc., Hornewood, Illinois.

Lal Nigam B.M. and Sharma G.L.. *Advanced Cost Accounting*, Himalaya Publishing House, Bombay-4.

Note : These questions will help you to understand the unit better. Try to write answers for them. But do not submit your answers to the University. These are for your practice only.

UNIT 7: APPROACHES TO BUDGETING

Structure

7.0 Objectives
7.1 Introduction
7.2 Fixed Budgeting
7.3 Flexible Budgeting
7.4 Difference between Fixed and Flexible Budgeting
7.5 Appropriation Budgeting
7.6 Zero Based Budgeting (ZBB)
7.7 Performance Budgeting
7.8 Budgetary Control Ratios
7.9 Behavioural Consideration
7.10 Let Us Sum Up
7.11 Key Words
7.12 Answers to Check Your Progress
7.13 Terminal Questions
7.14 Further Readings

7.0 OBJECTIVES

After studying this unit you will be able to know:

- different approaches for the preparation of budgets:
- the process of adjusting the budget to reflect actual conditions: and
- the differences between planned activity and actual activity.

7.1 INTRODUCTION

In the previous Unit you have learnt the preparation and review of various types of budgets. You have also learnt about the development of the master budget for planning and control of costs. In this unit, you wit! study about different approaches to budgeting and further to examine the use of the budget as a tool for performance evaluation and control. The actual performance is compared with the budgeted programme and the variances are analysed and investigated so that corrective action may be taken well in time to ensure the success of the business.

7.2 FIXED BUDGETING

According to C.1.M.A.. London, "a fixed budget is a budget which is designed to remain unchanged irrespective of the level of activity actually attained." Thus, a budget prepared the basis of a standard or fixed level of activity is known as a fixed budget. It does not change with the change in the level of activity. Therefore, it becomes an unrealistic yardstick in case the level of activity actually attained does not confirm to the one assumed

for budgeting purposes. The management will not be in a position to assess the performance of different heads on the basis of budgets prepared by them because they can serve as yardsticks only when the actual level of activity corresponds to the budgeted level of activity. Fixed budget is useful when there is no significant variation between the budgeted output and the actual output. It does not consider variances due to changes in the volume. In the industries where the pattern of demand is stable a fixed budget may be adequate, especially where the budget period is comparatively short. In such concerns it is possible to forecast sales with a considerable degree of accuracy.

7.3 FLEXIBLE BUDGETING

Flexible budget, also known as variable or sliding sale budget, is a budget which is designed to furnish budgeted costs for any level of activity actually attained. Flexible budgeting technique may be employed to adjust other budgets according to current conditions arising out of seasonal variations or changes in the length of the working period, etc.

According to C.I.M.A., London, "a flexible budget is a budget designed to change in accordance with the level of activity actually attained." Thus, a budget prepared in a manner so as to give the budgeted cost for any level of activity is known as a flexible budget. Such a budget is prepared after considering the fixed and variable elements of cost and the changes that may be expected for each item at vaiious levels of operations.

Under this method, a series of budgets would be prepared at different levels of activity. Variable items are shown in the budget as per the level of output. Fixed costs are shown at the same amount irrespective of level of output. Sales value is computed and entered into the flexible budget. The position of profit or loss will be revealed at the various levels of activity. Management will take a decision to operate at a particular level of activity where the profit is maximum taking into account all other factors.

A flexible budget is more realistic, useful and practical. The likely changes in the actual circumstances are taken into account while preparing a flexible budget. The technique is highly useful for control purposes. Actual performance of an executive may be compared with what he should have achieved in the actual circumstances and not with what he should have achieved under quite different circumstances.

Illustration 1

A Company producing electronic watches, estimates the following factory overhead costs for producing 5,000 units:

	Rs.
Indirect Materials	16,000
Indirect Labour	30,000
Inspection Costs	16,000
Heat, Light and Power	8,000
Expendable tools	8,000
Supervision costs	8,000
Equipment depreciation	4,000
Factory rent	4,000

Indirect labour, indirect material and expendable tools are entirely variable. Heat, light and power and inspection costs are variable to the extent of 50%, 40% respectively. Other costs are fixed costs a month. Prepare a flexible budget for production of 4,000 and 6,000 units per month. Also find out the average factory overheads per unit for these two production levels.

Solution:

Flexible Budget for the production of 4,000 and 6,000 units per month

	5000 Units Rs.	**4000 Units Rs.**	**6000 Units Rs.**
Overheads:			
Direct Material	16,000	12,800	19,200
Direct Labour	30,000	24,000	36,000
Inspection Costs	16,000	14,720	17,280
Heat Light and Power	8,000	7,200	8,800
Expendable tools	8,000	6,400	9,600
Supervision Costs	8,000	8,000	8,000
Equipment depreciation	4,000	4,000	4,000
Factor rent	4,000	4,000	4,000
	94,000	81,120	1,06,880
Average factory overheads per unit	18.80	20.28	17.81

Illustration 2

A manufacturing company is presently working at 50% capacity and produces 1000 units at a cost of Rs. 360 per unit. The details of cost are given below: **Rs.** Material 200 Labour 60 Factory Overhead 60 (Rs. 24 fixed) Administrative overheads 40 (Rs. 20 fixed)

Rs. 360

The current selling price of the product per unit is Rs. 400. At 60% of its capacity, material cost per unit increases by 2% and selling price per unit falls by 2%.

At 80% of its capacity, material cost per unit increases by 5% and selling price per unit falls by 5%. Estimate profits at 60% and 80% level of output and offer your suggestions.

Solution:

Flexible Budget (Showing the forecast of Profit at different levels)

Elements of Cost	**Level of Output**		
	50% (1000 Units)	**60% (1200 Units)**	**80% (1600 Units)**
	Rs.	**Rs.**	**Rs.**
Material	200	204	210
Labour	60	60	60

Factory Overhead (Variable)	36	36	36
Administrative O.H. (Variable)	20	20	20
Marginal Cost per Unit	316	320	326
Sales Per unit	400	392	380
Contribution per Unit (Sales Marginal Cost)	84	72	54
Total contribution	84,000	86,400	86,400
Fixed Overhead (Rs.24 + Rs. 20)	44,000	44,000	44,000
Profit (Contribution Fixed OH)	40,000	42,400	42,400

Suggestion : It is advisable to operate at 60% level of capacity as the profit at 80% capacity is the same. More risk is involved at 80% capacity as more production, more working capacity, more efforts still profit remains the same.

Illustration 3

The following data belongs to a manufacturing company for the year ending 31st March, 2005. You are required to prepare a flexible budget for the year 31-3-2005 and forecast the profit at 60%, 75%, 90% and 100% of capacity.

Fixed Expenses:	**Rs. (Lakhs)**
Wages and salaries	4.2
Rent, rates and taxes	2 .8
Depreciation	3.5
Administrative expenses	4.5
Total	15.0
Semi-Variable expense :@ 50% of capacity	
Maintenance and repairs	1.5
Indirect Labour	4.7
Sundry administrative expenses	2.7
Total	8.9

Variable Expenses@ 50% of capacity

Material	12.0
Labour	12.8
Other direct expenses	2.0
	26.8

It is estimated that fixed expenses remain constant for all levels of production; semi variable expenses remain constant between 45% and 65% of capacity, increasing by 10% between 65% and 80% of capacity and 20% between 80% and 100% of capacity.

Sales at various levels are:

50% capacity Rs. 45 Iakh

60% capacity Rs. 50 lakh

75% capacity Rs. 60 lakh

90% capacity Rs. 75 lakh

100% capacity Rs. 85 lakh

Solution:

Flexible Budget for the year ended 31st March, 2021 (Rs. in lakh)

Elements of Cost	Level of Output				
	50%	60%	75%	90%	100%
Fixed expenses					
Wages and salaries	4.2	4.2	4.2	4.2	4.2
Rent, Rates and taxes	2.8	2.8	2.8	2.8	2.8
Depreciation	3.5	3.5	3.5	3.5	3.5
Administrative expenses	4.5	4.5	4.5	4.5	4.5
	15.0	15.0	15.0	15.0	15.0
Semi-Variable Expenses					
Maintenance and repairs	1.5	1.5	1.65	1.80	1.80
Indirect labour	4.7	4.7	5.17	5.64	5.64
Sundry admn. Expenses	2.7	2.7	2.97	3.24	3.24
	8.9	8.9	9.79	10.68	10.68
Variable expenses					
Material	12.0	14.4	18.0	21.60	24.0
Labour	12.8	15.36	19.2	23.04	25.6
Other direct expenses	2.0	2.40	3.0	3.60	4.0
	26.8	32.16	40.2	48.24	53.6
Total cost of Production	50.7	56.06	64.99	73.92	79.28
Profit Loss	(–) 5.7	(–) 6.06	(–)4.99	(+) 1.08	(+) 5.72
Sales	45.00	50.00	60.00	75.00	85.00

7.4 DIFFERENCE BETWEEN FIXED AND FLEXIBLE BUDGETING

The differences can be outlined as follows:

1) Fixed budgeting is inflexible and remains the same irrespective of the volume of business activity, whereas flexible budgeting can be suitably recast quickly to suit changed conditions.

2) Fixed budgeting assumes the conditions would remain static, whereas, flexible budgeting is designed to change according to a change in the level of activity.

3) Under fixed budgeting, costs are not classified according to fixed, variable and semi-variable, while, under flexible budgeting, costs are classified according to nature of their variability.

4) Under fixed budgeting, actual and budgeted performances can't be correctly compared if the volume of output differs, while under flexible budgeting, comparisons are realistic since the changed plan figures are placed against actual ones.

5) Under fixed budgeting, cost cannot be ascertained if there is a change in the circumstances, while, under flexible budgeting, costs can easily be ascertained at different levels of activity. The task of fixing prices becomes smooth.

7.5 APPROPRIATION BUDGETING

Generally budgets are prepared for the regular business activities and they cover the operational activities of an organisation. However, it is not true that budgets are only useful for operational activities, these may also prepare for any particular purpose, like for constructing any particular building, development activities, where revenue is not concerned, only expenditures are there. When budgets are prepared only for a particular activity/work, that is called Appropriation Budget. These budgets are related to only one activity/work and on completion of that particular activity the purpose of this budget ends. Hence, this type of budget are always relate/cover different activities in an organisation.

7.6 ZERO BASED BUDGETING (ZBB)

The technique of zero based budgeting suggests that an organisation should not only make decisions about the proposed new programmes but it should also, from time to time, review the appropriateness of the existing programmes. Such review should particularly done of such responsibility centres where there is relatively high proportion of discretionary costs.

Zero based budgeting, as the term suggests, examines a programme or function or responsibility from " scratch." The reviewer proceeds on the assumption that nothing is to be allowed. The manger proposing the activity has, therefore, to prove that the activity is essential and the various amounts asked for are reasonable taking into account the volume of activity. Nothing is allowed simply because it was being done or allowed in the past. Thus, it means writing on a clean slate.

Peter A. Pyhrr defined the zero based budgeting as "an operating planning and budgeting process which requires each manager to justify his entire budget requests in detail from scratch (hence zero basis). Each manager states why he should spend any money at all. This approach requires that all activities be identified as decision packages which would be evaluated by systematic analysis ranked in order of importance."

Thus, a cost-benefit analysis is done in respect of every function or process. It has to be justified while framing budgets. The assumption underlying zero base budgeting is that the budget for the previous period was zero, therefore whatever costs are likely to be incurred or spending programmes are chalked out, justification or the full amount is to be given. Under conventional system of budgeting, however, the justification is to be submitted by the manager only in respect of the increase in the demand for allotment of funds in excess over the budget for the previous period. Thus, instead of functionally oriented spending approach, programme-oriented and decision-oriented approach is followed under zero based budgeting.

Advantages of ZBB

1) This system is decision oriented. 2) The techniques is relatively elastic, because budgets are prepared every year as zero base.
3) It reduces wastage, eliminates inefficiency and reduces the overall cost of production because every budget proposal is on the basis of cost-benefit ratio after careful evaluation of different alternatives and the one which is 'best' is approved.
4) It provides for a greater possibility of goal congruence.
5) It takes into consideration inflationary trends, competitor games and consumer behaviour.
6) It vastly improves financial planning and management information system in view of its revolutionary approach.

Disadvantages of ZBB

1) It is possible to quantify and evaluate budget proposals involving financial matters but computation of cost-benefit analysis is not possible in respect of non-finance matters.
2) The cost of administration of zero based budgeting is high.
3) It may be difficult to search out various alternatives for the same activity.
4) Some decision packages are inter-related which may be difficult to rank.
5) Ranking the decision is a scientific technique. Every manager can not be expected to have the necessary technical expertise in this matter.
6) Zero based budgeting dismisses that the past is irrelevant and thereby challenges the fundamental theory of continuity. Budgeting is a continuous process of estimating and forecasting about the future and is based on past happenings.

7.7 PERFORMANCE BUDGETING

Performance budgets are framed in such a manner that items of expenditure and receipts for a budget period related to a specific responsibility centre are linked with the physical performance of that centre. The main issue involved in the preparation of performance budgets is the development of work programmes and performance expectation by assignment of responsibility. It is essential for the attainment of the objectives.

In this approach, there is not only a financial plan but also a work plan in terms of work done or end-products produced. Thus, it gives a broader view to the budget as a plan and programme of action rather than only as an instrument for obtaining funds. In fact, it makes the integration of inputs with the outputs of a development programme.

According to National Institute of Bank Management, performance budgeting technique is, "the process of analysing, identifying, simplifying and crystallising specific performance objectives of a job to be achieved over a period, in the framework of the organisational objectives, the purpose and

objectives of the job. The technique is characterised by its specific direction towards the business objectives of the organisation."

The main objectives of performance budgeting are:

i) to coordinate the physical and financial aspects,

ii) to improve the budget formulation, review and decision making at all levels of management,

iii) to facilitate better appreciation and review by controlling authorities as the presentation is more purposeful and intelligible,

iv) to make more effective performance audit possible, and

v) to measure progress towards long term objectives which are envisaged in a development plan.

Performance budgeting requires preparation of periodic performance reports. Such reports compare budget and actual data, and show variances. Their preparation is greatly facilitated if the authority and responsibility for the incurrence of each cost element is clearly defined within the firm's organisational structure. The responsibility for preparing the performance budget of each department lies on the respective department head. Periodic reports from various sections of a department will be required by the departmental head who will submit a summary report about his department to the budget committee. The report will be in the form of comparison of budgeted and actual figures both periodic and cumulative. The purpose of preparing these reports is to promptly inform about the deviations in actual and budgeted activity to the person who has the necessary authority and responsibility to take necessary action to correct the deviations from the budget.

Thus, performance budgeting lays immediate stress on the achievement of specific goals over a period of time. However, in the long-run it aims at continuous growth of the organisation so that it continues to meet the dynamic needs of its growing clientele. It enables the organisation to be sensitive and adaptive, preventing it from developing rigidities which may retard the process of growth.

A comparison of the master budget with the flexible budget and with actual results forms the basis for analyzing difference between plans and actual performance. The difference between operating profits in the master budget and operating profits in the flexible budget is called an activity variance. When the change from the master budget to the flexible budget is due to changes in sales volume, the activity variance is known as the sales volume variance. The variance may be favourable or unfavourable variance. Let us take the following illustration.

Illustration 4

Z Ltd had a profit plan approved for selling 5,000 units per month at an average price of Rs. 10 per unit. The budgeted variable cost of production was Rs. 4 per unit and the fixed costs were budgeted at Rs 20,000, the planned income being Rs. 10,000 per month. Due to shortage of raw materials, only 4,000 units could be produced and the cost of production increased by 50 paisa per unit. The selling price was raised by Re. 1.00 per unit. In order to

improve the production process, an expenditure of Rs. 1000 was incurred for research and development activities.

Solution:

Z Ltd.

Performance Budget

	Original Plan (5000 units) Rs.	Adjusted Plan (4000 units) Rs.	Actual Position (4000 units) Rs.	Variance (Rs.)
Sales Revenue	50,000	40,000	44,000	4000 (F)
Variable Costs	20,000	16,000	18,000	2000 (U)
Contribution	30,000	20,000	26,000	2000 (F)
Fixed Costs	20,000	20,000	21,000	1000 (U)
Net Income	10,000	4,000	5,000	1000(F)

Flexible budget variance = Rs. 5000 – Rs. 4000 = Rs. 1000 (F)

Illustration 5

From the following information prepare the performance budget of ABC Company Ltd for the month of December, 2021.

Variables	Actual (Based on actual activity of 10,000 units sold)	Flexible Budget (based on actual activity of 10,000 units sold)	Master budget (based on a prediction of 8,000 units sold)
Sales Revenue	2,10,000	2.00,000	1,60,000
Manufacturing costs	1,05,440	1.00.000	80,000
Marketing and administrative Costs	11,000	10,000	8,000
Fixed Costs	65,000	60,000	60,000

Solution

Performance Budget of ABC Co. for the month of December, 2021

Variable	Actuals (based on actual activity of 10,000 units sold)	Variance	Flexible Budget (Based on actual activity of 10,000 units sold)	Variance	Master Budget (based on a prediction of 8000 units sold)
Sales Revenue	2,10,000	10,000 (F)	2,00,000	40,000(U)	1,60,000
Less: Mafg. Costs and Administrative costs	1,16,440	6,440(U)	1,10,000	22,000(U)	88,000

	93,650	3,560(U)	90,000	66,000(U)	72,000
Less: Fixed Cost	65,000	5,000	60,000	--	60,000
Profit	28,560	1440(U)	30,000	18,000(F)	12,000

Total Variance from Flexible Budget = Rs. 1,400 (U)

Total Variance from Master Budget = Rs. 18,000 – Rs. 1400 = Rs. 16,560 (F)

7.8 BUDGETARY CONTROL RATIOS

Three important ratios are commonly used by the management to find out whether the deviations of actuals from budgeted results are favourable or otherwise. These ratios are expressed in terms of percentages. If the ratio is 100% or more, the trend is taken as favourable. The indication is taken as unfavourable if the ratio is less than 100.

These ratios are:

1) Activity Ratio
2) Capacity Ratio
3) Efficiency Ratio

Let us study these ratios in brief.

1) Activity Ratio

It is the measure of the level of activity attained over a period. It is obtained when the number of standard hours equivalent to the work produced are expressed as a percentage of the budgeted hours.

$$\text{Activity Ratio} = \frac{\text{Standard hours for actual production}}{\text{Budgeted hours}} \times 100$$

2) Capacity Ratio

This ratio indicates whether and to what extent budgeted hours of activity are actually utilised. It is the relationship between the actual number of working hours and maximum possible number of working hours in budget period.

$$\text{Efficiency Ratio} = \frac{\text{Standard hours for actual production}}{\text{Actual hours worked}} \times 100$$

3) Efficiency Ratio

The ratio indicates the degree of efficiency attained in production. It is obtained when the standard hours equivalent to the work produced are expressed as a percentage of the actual hours spent in producing that work.

Illustration 6

A factory manufactures two types of articles namely X and Y. Article X takes 10 hours to make and article Y requires 20 hours. In a month (25 days of 8 hours each) 500 units of X and 300 units of Y are produced. The budget hours are 8500 per month. The factory employs 60 men in the department concerned. Compute Activity Ratio, Capacity Ratio and Efficiency Ratio.

Solution

Standard hours for actual production

	Hrs.
X : 500 units	5,000
Y : 300 units	6,000
	11,000
Budgeted Hours	8,500
Actual Horus worked (60	12,000

$$\text{Activity Ratio} = \frac{\text{Standard hours for actual production}}{\text{Budgeted Hours}} \times 100$$

$$= \frac{11000}{8500} \times 100 = 129\%$$

$$\text{Capacity Ratio} = \frac{\text{Actual hours worked}}{\text{Budgeted Ratio}} \times 100$$

$$= \frac{12000}{8500} \times 100 = 129\%$$

$$\text{Efficiency Ratio} = \frac{\text{Standard hours for actual production}}{\text{Actual hours worked}} \times 100$$

$$= \frac{11000}{12000} \times 100 = 92\%$$

7.9 BEHAVIOURAL CONSIDERATION

Basically budgets are prepared on the basis of past data available after considering the changes in future conditions. However, it must be kept in mind that human behaviour is volatile in nature. So, the preferences will change in future if there are changes in level of living, earning capacity, awareness about the new product. health consciousness, etc. Therefore at the time of preparing the budget, the factors which affect the behaviour of human being, must be considered, because these factors make drastic changes in the demand position of any product and budget estimates will not find near to actual data/ results.

Check Your Progress

1) State the differences between fixed and flexible budgeting.

   a) ……

   b) ……

   c) ……

   d) ……

2) What is meant by Appropriation Budgeting?

   ……

   ……

   ……

3) What are the budgetory control ratios?

……

……

……

4) Fill in the blanks:

a) A budget which is designed to remain unchanged irrespective of the level of activity is called …….

b) A budget which is prepared to change according to the level of activity is called ……

c) When a budget is prepared only for a particular activity such budgeting is called ……..

d) A system of establishing financial plans beginning with an assumption of no activity is called……

e) The difference between operating profits in the master budget and flexible budget is called ……variance.

5) State whether each of the following statement is true or false.

a) Fixed budgeting is useful when there is no significant variations in the budgeted output and actual output.

b) Incase of industries where the demand for goods is stable and budget period is short flexible budgeting is suitable for them

c) Flexible budgeting is also called sliding scale budget.

d) Budgets are prepared only for operational activities of an organisation.

e) A zero-base budgeting is prepared on the assumption that the budget for previous period is nil.

f) Performance budgeting lays immediate stress in the achievement of specific goals over a period of time.

g) Fixed budget is suitable for fixed expenses.

h) Every item of budget has to be justified when a zero based budgeting is prepared.

i) Fixed budget is more useful than a flexible budget.

7.10 LET US SUM UP

A Budget prepared on the basis of a standard level of activity is known as fixed budget. It does not change with the change in the level of activity. It is useful when there is no significant changes between the budgeted output and actual output. Flexible budget is a budget prepared in a manner so as to give the budgeted cost for any level of activity. The likely changes in the actual circumstances are taken into account while preparing the flexible budget. A series of budgets would be prepared at different levels of activity. Budgets are prepared not only for regular business activities but also for any particular purpose. When budgets are prepared for only a particular activity it is called appropriation budget. This type of budget cover different activities in an organisation.

Zero based budgeting suggests that an organisation should not only make decisions about the proposed new programmes but it should also, from time to time, review the appropriateness of the existing programmes. The underlying assumption of zero base budgeting is that the budgeting is that the budget for the previous period is zero, therefore whatever costs are likely to be incurred are chalked out and full amount is to be given.

Performance budgeting requires preparation of periodic performance reports. Such reports compare budget reports and actual data, and show variances. There are three important ratios commonly used by the management to find out whether the deviations of actuals from budgeted results are favoruable or otherwise. These ratios are Activity ratio, capacity ratio and efficient ratio.

7.11 KEYWORDS

Appropriation Budgeting: A budget which is prepared only for a particular activity/work.

Flexible Budget: A budget which is designed to change in accordance with the level of activity attained.

Fixed Budget: A budget which remains unchanged whatever the actual level of activity.

Zero-Based Budgeting: A system of establishing financial plans beginning with an assumption of no activity and justifying each programme or activity level.

7.12 ANSWERS TO CHECK YOUR PROGRESS

4) (a) Fixed budgeting (b) flexible budgeting (c) Appropriation budgeting (d) Zero based budgeting (e) Activity

5) a) True b) False c) True d) False e) True f) True g) True h) True i) False

7.13 TERMINAL QUESTIONS

1) What are fixed and flexible budgets? Differentiate between these two.

2) What do you understand by zero base budgeting? How is it different from traditional budgeting?

3) Why do accountants prepare a budget for a period that is already over when we know the actual results by then? Explain.

4) Why is a variable costing format useful for performance evaluation?

5) What are the three important control ratios? Explain them in brief.

6) "Performance budgeting requires preparation of periodic performance reports

7) A single product manufacturing company is currently producing 12,000 units (at 60% capacity). The following particulars relating to its cost structure are available:

	Per Unit (Rs.)
Direct materials	5
Direct Labour (Variable)	2
Manufacturing overheads (60% fixed)	5
Administrative overheads (fixed)	2
Selling and distribution	3
Cost of sales	17
Profit	3
Selling price	20

You are required to prepare to prepare budget for 60%, 80% and 100% activity levels taking into account the following additional information :

1) if activity exceeds 60%. , 5% quantity discount on raw materials on account of increase in the total quantity will be received.

2) The present fixed cost structure will remain constant upto 90% capacity, beyond which a 20% increase in cost is expected.

3) The present unit selling price will remain constant upto 70% activity level, beyond which a $2\frac{1}{2}$ % reduction in original price for increase in activity by every 5% is contemplated.

(**Ans.** At 60% : Rs. 36.000, at 80% Rs. 71,200, at 100 : Rs. 53,080)

8) The following data are available in a manufacturing company for the period of a year.

	Rs.('000')
Fixed expenses:	
Wages and salaries	950
Rent, rates and taxes	660
Depreciation	740
Sundry administrative expenses	650
Semi-variable expenses : (at 30% of capacity)	
Maintenance and repairs	350
Indirect labour	790
Sales department salaries etc.	380
Sundry administrative expenses	280
Variable expense: (at 50% of capacity)	
Materials	2,170
Labour	2,040
Other expenses	790
	9800

Assume that the fixed expense remain constant for all levels of production; semi Control variable expenses remain constant between 45% and 65% of capacity, increasing by 10% between 65% and 80% capacity, and by 20% between 80% and 100% capacity.

Sales at various levels are:

	Rs. (Lakhs)
50% capacity	100
60% capacity	120
75% capacity	150
90% capacity	180
100% capacity	200

Prepare the flexible budget for the year and forecast the profits at 60%, 75*%,* 90% and 100% of capacity.

(**Ans.:** 60% Rs. 12 lakhs, *75%* Rs. 25.2 lakh. 90%, Rs. 38.4 lakhs, 100% Rs. 47.4 lakhs)

9) A manufacturing Co. Ltd operates a system of flexible budgetary control. A flexible budget is required to show levels of activity of 80%, 90% and 100%. The following information is available:

   1) Sales, based on normal level of activity of 80% are 8,00,000 units at Rs. 10 each. If output is increased to 90%, it is thought that the selling price should be reduced by 2 , and if output reached is 100%, it would be necessary to reduce the original price by 5% in order to reach a wider market.

   2) Prime costs are:

Direct material	Rs. 3.50
Direct labour	Rs. 1.25
Direct expense	Rs. 0.25
	Rs. 5.00

   If output reaches at 90% level of activity as above, the purchase price of raw material will be reduced by 5%.

   3) Variable overheads, salesmen's commission is 5% on sales value.

   4) Semi-variable overheads at normal level of activity are:

	Rs.
Supervision	80,000
Power	70,000
Heat and light	40,000
Maintenance	50,000
Indirect labour	1,00,000
Salesmen's expenses	60,000
Transport	2,00,000

   Semi-variable overheads are expected to increase by 5% if output reaches a level of activity of 90%, and by a further 10% if it reaches the 100% level.

5) Fixed overheads are:

	Rs.
Rent and rates	1,00,000
Depreciation	4,00,000
Administration	7,50,000
Sales department	2,00,000
Advertising	5,00,000
General	50,000

(Ans: 80% Rs. 10 lakh, 90% Rs. 1363750, 100% Rs. 1507000)

10) A department of a Company X attain sales of Rs. 3,00,000 at 80% of its normal capacity and its expenses are given below:-

Administration Costs:

Salaries : Rs. 45,000, General expenses 2 of sales,

Depreciation Rs. 3,750, Rate and taxes Rs. 4,375

Selling Costs:

Salaries 8% of sales, Travelling expenses 2% of sales

Sales expenses 1% of sales. General expenses 4% of sales.

Distribution Costs:

Wages Rs. 7,500, Rent 1% of sales, other expenses 1% of sales.

Prepare a flexible administration selling and distribution costs budget, operating at 90% and 100% of normal capacity.

	90%	100%
(Ans : Administration Costs	Rs. 59,875	Rs. 60,625
Selling Costs	Rs. 40,500	Rs. 45,000
Distribution Costs	Rs. 14,375	Rs. 26,250
Total	Rs. 1,14,750	Rs. 1,31,875

11) From the following particulars relating to XYZ for the month of November, 2003 prepare a report comprising actual results with the flexible and master budget.

Units produced and sold	:	50,000 (Budgeted sales 45,000 units)
Selling price per unit	:	Rs. 10 (Budgeted Rs. 11 per unit)
Actual variable cost per unit	:	Rs. 5 (Budgeted Rs.4 per unit)
Actual fixed overhead	:	Rs. 83,000 (Budgeted Rs. 80,000)
Actual fixed administration cost	:	Rs. 96,000 (Budgeted Rs.1,00,000)
Actual Variable administration Cost	:	Rs 62,500 (Budgeted Re. 1 per unit)
(50,000 units @ 1.25 per unit)		

[**Ans.:** Total variance from flexible budget Rs.1,27,500 (Unfavourable) Total variance from Master budget : Rs. 2,39,000 (Unfavourable)]

12) From the following controllable and non-controllable costs relating a manufacturing company for 31st March, 2003, prepare a performance budget by actual results with the flexible and master budget: Standard budget based on 20,000 units:

Controllable Costs	Rs.	Non Controllable Costs	Rs.
Indirect Labour	70,000	Supervision	34,000
Indirect material	20,000	Rates and taxes	12,000
Fuel and power	56,000	Insurance	2,000
Maintenance	12,000	Depreciation	15,000
	1,58,000		1,58,000

The actual production during the year was as follows:

Controllable costs :	Actual Costs	Budget based on 18,000 units actuals
	Rs.	Rs.
Indirect labour	63,000	65,000
Indirect material	21,000	18,000
Fuel and power	56,000	51,400
Maintenance	12,000	11,600
	1,52,000	1,46,000
Non-controllable costs:		
Supervision	32,980	31,600
Rates and taxes	12,000	12,000
Insurance	2,000	2,000
Depreciation	15,000	15,000
	61,980	61,600

[Ans. Total Variance from flexible budget: Controllable costs Rs. 6000 (U), Non Controllable Costs: Rs. 1380 (U), Total variance from Master budget: Controllable costs: Rs. 6000 (F) Uncontrollable costs: Rs. 1020 (F)]

7.14 FURTHER READINGS

Prem Chand, 1969, *Performance Budgeting*, Academic Books : New Delhi.

Pyhrr, Peter, A. 1973, *Zero Base Budgeting*, John Wiley and.. Sons ; New York.

Note: These questions will help you to understand the unit better. Try to write answers for them. But do not submit your answers to the University. These are for your practice only.

UNIT 8: BUDGETARY CONTROL

Structure

8.0 Objectives
8.1 Introduction
8.2 Essentials of Budgetary Control
8.3 Objectives of Budgetary Control
8.4 Advantages of Budgetary Control
8.5 Limitations of Budgetary Control
8.6 Programme Budgeting
  8.6.1 Process of Programme Budgeting
  8.6.2 Advantages of Programme Budgeting
  8.6.3 Disadvantages of Programme Budgeting
8.7 Performance Budgeting
  8.7.1 Purpose of Performance Budgeting
  8.7.2 Process of Performance Budgeting
8.8 Budgetary Control Ratios
8.9 Let Us Sum Up
8.10 Key Words
8.11 Answers to Check Your Progress
8.12 Terminal Questions

8.0 OBJECTIVES

After studying this unit, you should be able to

- Explain the essentials of Budgetary Control
- State the objectives of Budgetary Control
- Discuss the advantages and limitations of Budgetary Control
- Describe the importance of Programme Budgeting
- Explain about Performance Budgeting
- Describe the significance of Budgetary Control Ratios

8.1 INTRODUCTION

Budgetary control is the process by which budgets are prepared for the future period and are compared with the actual performance for finding out variances, if any. The comparison of budgeted figures with actual figures will help the management to find out variances and take corrective actions without any delay. Budgetary control is the process of determining various actual results with budgeted figures of the enterprise for the future period and standards set then comparing the budgeted figures with the actual performance for calculating variances, if any. First of all, budgets are prepared and then actual results are recorded. The comparison of budgeted

and actual figures will enable the management to find out discrepancies and take remedial measures at a proper time. The budgetary control is a continuous process which helps in planning and co-ordination. It provides a method of control too. A budget is a means and budgetary control is the end-result.

Example:

First, a budget needs to be created. To put it simply, a company performance budget is really just a set of financial goals that management wants to achieve. These could be sales or spending goals.

Second, after the budget is created, management needs to compare, analyse, and interpret the actual performance results with the budgeted goals. Management typically uses a budget report for this comparison.

Third, after the comparison has been made, managers need to improve the underperforming operations and continue to strengthen the favourable ones. The budget report easily allows managers to focus on unfavourable operations because all areas that meet the budget are marked with an F for favourable variance while the poorly performing areas are marked with a U for unfavourable variance.

The fourth and final step usually occurs at the end of an accounting period. After management has a chance to look over the entire last period, they can start making plans for the next year. For example, they will most likely review the original budget that was created and why certain goals were set. Then they will compare the actual with the budgeted performance over the entire period. Lastly, management will focus on how they tried to correct the problem operations and develop a plan to fix them in the next period.

Definition:

"According to Brown and Howard, "Budgetary control is a system of controlling costs which includes the preparation of budgets, coordinating the departments and establishing responsibilities, comparing actual performance with the budgeted one and acting upon the results to achieve maximum profitability." Weldon characterizes budgetary control as planning in advance of the various functions of a business enterprise so that the business as a whole is controlled.

J. Batty defines it as, "A system which uses budgets as a means of planning and controlling all aspects of producing and/or selling commodities and services. Welsch relates budgetary control with day-to-day control process." According to him, "Budgetary control involves the use of budget and budgetary reports, throughout the period to co-ordinate, evaluate and control day-to-day operations in accordance with the goals specified by the budget."

Budgetary control refers to how well managers utilize budgets to monitor and control costs and operations in a given accounting period. In other words, budgetary control is a process for managers to set financial and performance goals with budgets, compare the actual results, and adjust performance, as it is needed.

(a) The objects are set by preparing budgets.

(b) The business is divided into various responsibility centres for preparing various budgets.

(c) The actual figures are recorded.

(d) The budgeted and actual figures are compared for studying the performance of different cost centres.

(e) If actual performance is less than the budgeted norms, a remedial action is taken immediately.

8.2 ESSENTIALS OF BUDGETARY CONTROL

There are certain steps which are necessary for the successful implementation of the budgetary control system. These are as follows:

1. Organization for Budgetary Control

The proper organization is essential for the successful preparation, maintenance and administration of budgets. A Budgetary Committee is formed, which comprises the departmental heads of various departments. All the functional heads are entrusted with the responsibility of ensuring proper implementation of their respective departmental budgets. The Chief Executive is the overall in-charge of the budgetary system. He/She constitutes a budget committee for preparing realistic budgets. A budget officer is the convener of the budget committee who co-ordinates the budgets of different departments. The managers of different departments are made responsible for their departmental budgets.

2. Budget Centres

A budget centre is that part of the organization for which the budget is prepared. A budget centre may be a department, section of a department or any other part of the department. The establishment of budget centres is essential for covering all parts of the organization. The budget centres are also necessary for cost control purposes. The appraisal performance of different parts of the organization becomes easy when different centres are established.

3. Budget Manual

A budget manual is a document which spells out the duties and also the responsibilities of various executives concerned with the budgets. It specifies the relations amongst various functionaries.

4. Budget Officer

The Chief Executive, who is at the top of the organization, appoints some person as Budget Officer. The budget officer is empowered to scrutinize the budgets prepared by different functional heads and to make changes in them, if the situations so demands. The actual performance of different departments is communicated to the Budget Officer. He/She determines the deviations in the budgets and the actual performance and takes necessary steps to rectify the deficiencies, if any.

He/She works as a coordinator among different departments and monitors the relevant information. He/She also informs the top management about the performance of different departments. The budget officer will be able

to carry out his work fully well only if he is conversant with the working of all the departments.

5. Budget Committee

In small-scale concerns, the accountant is made responsible for the preparation and implementation of the budgets. In large-scale concerns, a committee known as Budget Committee is formed. The heads of all the important departments are made members of this committee. The Committee is responsible for the preparation and execution of budgets. The members of this committee put up the case of their respective departments and help the committee to take collective decisions if necessary. The Budget Officer acts as the convener of this committee.

6. Budget Period

A budget period is the length of time for which a budget is prepared and employed. The budget period depends upon a number of factors. It may be different for different industries or even it may be different in the same industry or business.

The budget period depends upon the following considerations:

(a) The type of budget i.e. sales budget, production budget, raw materials purchase budget, capital expenditure budget. A capital expenditure budget may be for a longer period i.e. 3 to 5 years purchase, sale budgets may be for one year.

(b) The nature of demand for the products.

(c) The timings for the availability of the finances.

(d) The economic situation of the country.

(e) The length of trade cycles.

All the above-mentioned factors are taken into account while fixing period of budgets

7. Determination of Key Factor

The budgets are prepared for all functional areas. These budgets are interdependent and inter-related. A proper co-ordination among different budgets is necessary for making the budgetary control a success. The constraints on some budgets may have an effect on other budgets too. A factor which influences all other budgets is known as Key Factor or Principal Factor. There may be a limitation on the quantity of goods a concern may sell. In that case, sales will be a key factor and all other budgets will be prepared by keeping in view the amount of goods the concern will be able to sell. The raw material supply may be limited, so production, sales and cash budgets will be decided according to the raw materials budget. Similarly, plant capacity may be a key factor if the supply of other factors is easily available.

The key factor may not necessarily remain the same. The raw materials supply may be limited at one time but it may be easily available at another time. The sales may be increased by adding more sales staff, etc. Similarly, other factors may also improve at different times. The key factor also highlights the limitations of the enterprise. It will enable the management

to improve the working of those departments where scope for improvement exists.

8.3 OBJECTIVES OF BUDGETARY CONTROL

The main objectives of the budgetary control as follows:

1. Defining the objectives of the enterprise.
2. Providing plans for achieving the objectives so defined.
3. Coordinating the activities of various departments.
4. Operating various departments and cost centres economically and efficiently.
5. Increasing the profitability by eliminating waste.
6. Centralizing the control system.
7. Correcting variances from sit standards.
8. Fixing the responsibility of various individuals in the enterprise.

Check Your Progress A

State whether the following statements are **True** or **False:**

a) The budgets are not prepared for all functional areas of management.

b) A budget period is the length of time for which a budget is prepared and employed.

c) A budget manual is a document which does not spell out the duties and also the responsibilities of various executives concerned with the budgets

d) Fixing the responsibility of individuals in the enterprise is not the objective of budgetary control.

e) The Budget Committee is not responsible for the preparation and execution of budgets.

8.4 ADVANTAGES OF BUDGETARY CONTROL

Budgetary control has become an important tool of an organization to control costs and to maximize profits. Some of the advantages of budgetary control are:

1. It defines the goals, plans and policies of the enterprise. If there is no definite aim, then the efforts will be wasted in achieving some other aims.
2. Budgetary control fixes targets. Each and every department is forced to work efficiently to reach the target. Thus, it is an effective method of controlling the activities of various departments of a business unit.
3. It secures better co-ordination among various departments.
4. In case the performance is below expectation, budgetary control helps the management in finding the responsibility.
5. It helps in reducing the cost of production by eliminating the wasteful expenditure.

6. By promoting cost consciousness among the employees, budgetary control brings in efficiency and economy.
7. Budgetary control facilitates centralized control with decentralized activity.
8. As everything is planned and provided in advance, it helps in smooth running of the business enterprise.
9. It tells the management as to where action is required for solving problems without delay.

8.5 LIMITATIONS OF BUDGETARY CONTROL

The following are the main limitations of the budgetary control suffers from many limitations, few of them are as follow:

1. It is really difficult to prepare the budgets accurately under inflationary conditions.
2. Budget involves a heavy expenditure which small business concerns cannot afford.
3. Budgets are prepared for the future period which is always uncertain. In future, conditions may change which will upset the budgets. Thus, future uncertainties minimise the utility of budgetary control system.
4. Budgetary control is only a management tool. It cannot replace management in decision-making.
5. The success of budgetary control depends upon the support of the top management. If there is lack of support from top management, then this will fail.

8.6 PROGRAMME BUDGETING

Programme budgeting, is the budgeting system that, contrary to conventional budgeting, describes and gives the detailed costs of every activity or program that is to be carried out with a given budget.

Programme budgeting was first evolved in the United States. In Britain, it is referred to as 'Output Budgeting'. It is mainly useful to government departments and non-profit organizations. In programme budgeting, special emphasis is laid on the formulation of different budgets for different programmes. It utilizes a planning and budgeting process in an output oriented programme format, which is oriented to its objectives to facilitate developing and evaluating alternatives.

It leads to the allocation of resources over a planning period. Programme budgeting integrates organization's all planning activities and budgeting into a total system.

What is a Programme Budget?

A program budget is a budget prepared specifically for a project or program. This type of budget includes expenses and revenues related to one specific project. No revenues or expenses of any other projects are mixed with this particular project.

A business has many different projects running at a single time. Therefore, it becomes very important to set the goals and objectives of each individual project, along with its budget. The program budget allocates resources to a project, which helps in monitoring the performance of the project and increases accountability.

Let us look at a Program Budget as an example to understand the concept more clearly.

Reyon Ltd. is in the textile business. It receives multiple orders from different clients every year. One of these clients, Noble Ltd., gave Reyon Ltd. an annual contract. Reyon Ltd. follows and prepares a program budget. Here, Reyon Ltd. shall prepare the program budget of Noble Ltd. by including all the income and expenses related to this single project. No other project shall be considered while preparing the budget for Noble Ltd. Thus, the program budget focus is only on the individual projects.

8.6.1 Process of Programme Budgeting

Under programme budgeting, programmes are identified for achieving different goals of the organization. Then each programme is divided into different elements. Resources such as materials, men, machines, utilities, etc. are allocated to various programmes over the period. The emphasis is continuously placed on analysis of alternatives (including existing programmes) and estimating the cost of accomplishing objectives and fulfilling purposes and needs.

The steps involved in the programming budgeting are as follows:

(a) Identification of programmes required fulfilling the mission

(b) Identification of programme elements

(c) Allocation of resources to programmes

(d) Utilizing forecast studies analysis-mostly multiyear forecasts are considered in programmed budgeting

(e) Measuring the actual performance of approved programmes and comparing with budget performance

In the case of non-profit organizations, output indicators are to be developed because output can not be measured in monetary terms. For example, for training programmes, the output indicator may be in terms of number of employees trained. For health programmes, output indicator may be reduction in disease. The programme budget, however, does not eliminate the need for traditional budget. It adds only a new dimension to planning and budgeting system. A traditional budget can be divided into a number of programme budgets.

8.6.2 Advantages of Programme Budgeting

There are many advantages of a Program Budget which are as follows:

- It helps in determining the priority of the projects.
- It helps in planning and managing the delivery of services in the future.

- It monitors the allocation of resources to a project and determines how they are used to meet the goals of the organization.
- It helps in identifying areas where cost reduction can be implemented and savings can be made.
- It helps in spotting the areas where higher levels of funds are required.
- It adds accountability to the organization. Since each project has its respective budget, performance measurement can be done and firm accountability can be set.

Apart from the advantages, there are also some disadvantages to program budgets.

8.6.3 Disadvantages of Programme Budgeting

Programme budgeting suffers from many limitations, some of them are as follow:

- A program budget requires a lot of information and it can take a lot of time to determine the exact financial resources required. Additionally, during the year, when any changes must be made to the resources required, it becomes very difficult to achieve a balanced budget.
- Sometimes, overlapping causes several changes to the budget. For example, the municipality department may include the electricity repair expenses in the budget, which may or may not occur. This leads to the budgeting of dual expenses.
- If the program budget is incorrect, it can lead to an increase in costs.
- The program budget sometimes makes it difficult to evaluate the performance of the project. Multiple layers of administrators govern a project, so finding out the actual performance of any administrator can become a daunting task.

8.7 PERFORMANCE BUDGETING

Performance budget (PB) may be defined as a budget based on functions, activities and projects. Performance budgeting may be described as a budgeting system, where under input costs are related to the end results, i.e. performance.

According to the National Institute of Bank Management, Mumbai, the PB is the process of analyzing, identifying, simplifying, and crystallizing specific performance objectives of a job to be completed over a period in the framework of the organizational objectives, purpose and objectives of the job.

It involves evaluation of the performance of the organization in the context of both specific as well as overall objectives of the organization.

8.7.1 Purpose of Performance Budgeting

The performance budget is an instrument through which financial resources are allocated according to purposes and objectives. The costs of various programmes proposed for achieving these objectives are clearly indicated. It also presents data for measuring worth performance of the accomplishment of objectives set under each programme. The focus of attention is not only

on expenditure but also on achievement. Both are integral parts of financial planning and expenditure authorization.

8.7.2 Process of Performance Budgeting

PB is a technique or a method employed by any agency/department. The first stage is to decide what its goal or objective should, be the next stage is to decide on a set of programmes in order to achieve the goal and then to implement the programme. Final stage is to evaluate the actual performance of each segment and its contribution towards achievement of its goal.

Steps in Performance Budgeting

(a) Formulation of objectives of the agency/department.

(b) Identification of various programmes or projects, which will help the agency to achieve its objective.

(c) Evaluation of the programmes in terms of benefits that they produce compared to the resources that they consume.

(d) Selection of the programmes on the basis of cost benefit analysis in order to utilize the funds in the optimal manner

(e) Development of performance criteria for various programmes (suitable work measurement units, norms, yardsticks, standards, and other performance indicators)

(f) Preparation of long-term physical as well as financial plans

(g) Preparation of the annual budget

(h) Assessment of performance of each programme and by each responsibility unit and comparison of the same with the budget

(i) Undertaking periodical review of the programmes with a view to assess the strengths and weaknesses and make modification, if necessary.

8.8 BUDGETARY CONTROL RATIOS

Under the system of budgetary control, the actual performances are compared with budgeted performances so as to determine the deviations or variances. The deviations or variances may be favourable or unfavourable and may be expressed in terms of absolute figures or in terms of ratios.

Following control ratios are used by the management to know whether the deviations of the actual performance from the budgeted performance are favourable or unfavourable. If the ratio is 100% or more, the performance is considered as favourable and if is less than 100%, the performance is considered unsatisfactory.

(i) **Capacity Ratio** $= \dfrac{\text{Actual Hours Worked}}{\text{Budgeted Hours}} \times 100$

This ratio indicates the extent to which budgeted hours of activity is actually utilised. If the ratio is 85%, budgeted capacity is utilised up to 85% and 15% capacity remains unutilised.

(ii) **Activity Ratio** $= \dfrac{\text{Standard Hours for Actual Production}}{\text{Budgeted production in terms of standard Hours}} \times 100$

This ratio measures the level of activity attained during the budget period.

(iii) **Efficiency Ratio** = $\frac{\text{Actual Production in terms of Standard Hours}}{\text{Actual Hours worked}} \times 100$

This ratio measures the efficiency of the operation of the firm.

Check Your Progress B

Fill in the blanks

a. …… secures better co-ordination among various departments.

b. Budget involves a heavy expenditure which……. cannot afford.

c. …… integrates all the organization's planning activities and budgeting into a total system.

d. …….. is an instrument through which financial resources are allocated according to purposes and objectives.

e. …… ratio indicates the extent to which budgeted hours of activity are actually utilised**.**

Example 1

Product X takes 5 hours to make and Y requires 10 hours. In a month of 25 effective days of 8 hours a day, 1,000 units of X and 600 units of Y were produced. The company employs 50 workers in the production department. The budgeted hours are 1,02,000 for the year. Calculate the Control Ratios, i.e., Capacity Ratio, Activity Ratio and Efficiency Ratio.

Budgeted hours for the month= 1,02,000/12 i.e. 8500 hrs per month

Actual Hours worked= 50 workers 25days 8 hours per day i.e. 10,000 hours

Standard hours for actual output

(i) Hours allowed for 1000 units of product X = 1000 units × 5 hours = 5000

(ii) Hours allowed for 600 units for product Y= 600 units × 10 hours = 6000

Total = 11,000

(a) **Capacity Ratio** = $\frac{\text{Actual Hours}}{\text{Budgeted Hours}} \times 100$

$= \frac{10{,}000 \text{ hrs.}}{8{,}500 \text{ hrs}} \times 100$

= 117.65%

(b) **Activity Ratio** = $\frac{\text{Actual Production in terms of standard hours}}{\text{Budgeted standard hours}} \times 100$

$= \frac{11{,}000}{8{,}500} 100$

= 129.41%

(c) **Efficiency Ratio** = $\frac{\text{Actual Production in terms of standard hours}}{\text{Actual Hours worked}} \times 100$

$= \frac{11000}{10000} = 1.1$

Illustration 2

Two articles X and Y are manufactured in a department. Their specifications show that 2 X's or 8 Y's can be produced in one hour. The budgeted production for June, 2019 is 200 X's and 400 Y's. The actual production at the end of the month was 250 X's and 480 Y's and the actual hours spent on this production were 160. Find out the capacity, activity and efficiency ratios for June 2019. Also find out the calendar ratio if the actual working days during the month be 27 corresponding to 25 days in the budget.

Solution

Standard Budgeted Hours for June 2019:

X — 200 ÷ 2 = 100 Hours

Y — 400 ÷ 8 = 50 Hours

= 150 Hours

Standard Hours for Actual Production:

X — 250 ÷ 2 = 150 Hours

Y — 480 ÷ 8 = 60 Hours

= 185 Hours

$$\textbf{Capacity Ratio} = \frac{\text{Actual Hours Worked}}{\text{Budgeted Hours}} \times 100 = \frac{160}{150} \times 100 = 106.67\%$$

$$\textbf{Activity Ratio} = \frac{\text{Standard Hours for Actual Production}}{\text{Budgeted Standard Hours}} \times 100$$

$$= \frac{185}{150} \times 100 = 123.33\%$$

$$\textbf{Efficiency Ratio} = \frac{\text{Standard Hours for Actual Production}}{\text{Hours worked}} \times 100$$

$$= \frac{185}{160} \times 100 = 115.62\%$$

$$\textbf{Calendar Ratio} = \frac{\text{Number of Actual Working Days in a Period}}{\text{Number of Working Days in the Budget Period}} \times 100$$

$$= \frac{27}{25} \times 100 = 108\%$$

8.9 LET US SUM UP

Budgetary control is the process by which budgets are prepared for the future period and are compared with the actual performance for finding out variances, if any. The comparison of budgeted figures with actual figures will help the management to find out variances and take corrective actions without any delay. There are certain steps which are necessary for the successful implementation of the budgetary control system. These include Organization for Budgetary Control, Budget centre, Budget manual, Budget officer, Budget Committee, Budget period and Determination of Key Factor. There are many objectives of budgetary control, some of which are: Defining the objectives of the enterprise, providing plans for

achieving the objectives so defined, coordinating the activities of various departments, Operating various departments and cost centres economically and efficiently, Increasing the profitability by eliminating waste etc. It has certain advantages and limitations The advantages are: It secures better co-ordination among various departments, In case the performance is below expectation, budgetary control helps the management in finding up the responsibility, It helps in reducing the cost of production by eliminating the wasteful expenditure, By promoting cost consciousness among the employees, budgetary control brings in efficiency and economy, Budgetary control facilitates centralized control with decentralized activity, As everything is planned and provided in advance, it helps in smooth running of the business enterprise. However, limitations are: It is really difficult to prepare the budgets accurately under inflationary conditions, Budget involves a heavy expenditure which small business concerns cannot afford, Budgets are prepared for the future period which is always uncertain. In future, conditions may change which will upset the budgets. Thus, future uncertainties minimize the utility of budgetary control system.

Programme budgeting describes and gives the detailed costs of every activity or program that is to be carried out with a given budget. Steps involved in the programming budgeting are as follows:

(a) Identification of programmes required fulfilling the mission, (b) Identification of programme elements, (c) Allocation of resources to programmes, (d) Utilizing forecast studies analysis-mostly multi-year forecasts are considered in programmed budgeting, (e) Measuring the actual performance of approved programmes and comparing with budget performance. It has many advantages and disadvantages which are :

Advantages: It helps in determining the priority of the projects, It helps in planning and managing the delivery of services in the future, It monitors the allocation of resources to a project and determines how they are used to meet the goals of the organization, It helps in identifying areas where cost reduction can be implemented and savings can be made, It helps in spotting the areas where higher levels of funds are required.

Disadvantages: A program budget requires a lot of information and it can take a lot of time to determine the exact financial resources required. Sometimes, overlapping causes several changes in the budget. This leads to the budgeting of dual expenses. If the program budget is incorrect, it can lead to an increase in costs; the program budget sometimes makes it difficult to evaluate the performance of the project.

Performance budget may be defined as a budget based on functions, activities and projects. Performance budgeting may be described as a budgeting system, where under input costs are related to the end results. The steps involved in performance budgeting include: (a) Formulation of objectives of the agency/department, (b) Identification of various programmes or projects, which will help the agency to achieve its objective, (c) Evaluation of the programmes in terms of benefits that they produce compared to the resources that they consume, (d) Selection of the programmes on the basis of cost benefit analysis in order to utilize the funds in the optimal manner, (e) Development of performance criteria for the various programmes

(suitable work measurement units, norms, yardsticks, standards, and other performance indicators), (f) Preparation of long-term physical as well as financial plans, (g) Preparation of the annual budget. Under the system of budgetary control, the actual performances are compared with budgeted performances so as to determine the deviations or variances. The deviations or variances may be favourable or unfavourable and may be expressed in terms of absolute figures or in terms of ratios which are Activity Ratio, Capacity Ratio and Efficiency Ratio.

8.10 KEY WORDS

Budgetary control is the process by which budgets are prepared for the future period and are compared with the actual performance for finding out variances, if any.

Programme budgeting describes and gives the detailed costs of every activity or program **that is to be carried out with a given** budget**.**

Performance budget is one that reflects both the input of resources and the output of services for each unit of an organization.

Variances in budgeting, a variance **is the difference between a budgeted, planned, or standard cost and the actual amount incurred/sold. Variances can be computed for both costs and revenues.**

8.11 ANSWER TO CHECK YOUR PROGRESS

A a-False, b-True, c-False, d-False, e-False

B a-Budget, b- small business concern, c- Programme Budgeting, d-Performance Budget, e-Capacity

8.12 TERMINAL QUESTIONS

1. What do you mean by Budgetary Control? State the objectives of budgetary control.
2. Define Budgetary Control? What are the essentials of a budgetary control system?
3. Describe the advantages and limitations of Budgetary Control.
4. Define Programme Budgeting. Explain the steps involved in programme budgeting.
5. Explain the advantages and disadvantages of Programme Budget.
6. What is meant by Performance Budgeting? What are its purposes. Discuss the process of performance budgeting.
7. Write short notes on the following giving examples.
   - Activity Ratio
   - Capacity Ratio
   - Efficiency Ratio